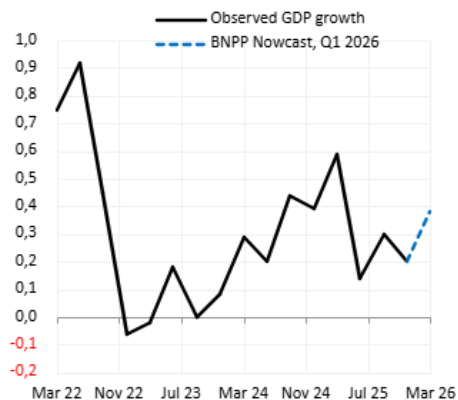


The scenario, forecasts and nowcasts of the Economic Research – 20 April 2026

NOWCASTS OF THE ECONOMIC RESEARCH

Eurozone



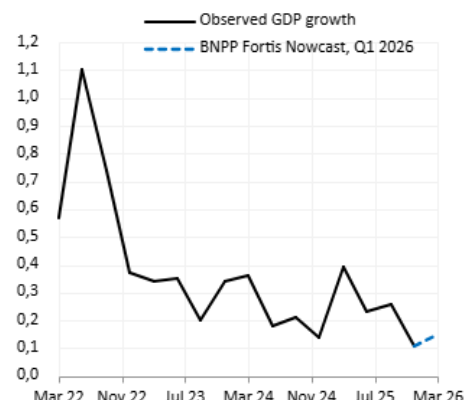
Source: Refinitiv, BNP Paribas

France



Source: Refinitiv, BNP Paribas

Belgium



Source: Refinitiv, BNP Paribas

Our nowcast for Eurozone growth points to an acceleration in Q1 2026 (+0.4% q/q) compared with Q4 2025 (+0.3%). This is due to stronger industrial momentum, as evidenced by the improvement in the manufacturing PMI in January-February.

Our nowcast for French growth suggests continued momentum in Q1 2026, at +0.3% q/q, which is the average level recorded since Q2 2025. This growth is supported by industry. The decline in consumer confidence in March is not expected to weigh on Q1 GDP, but rather on Q2.

Business sentiment at its lowest level in 10 months and the cooling down of the labor market have led to a downward revision of our nowcast for Q1 Belgian GDP growth (from 0.3% to 0.15%). In parallel, business transactions (a proxy for activity levels) are trending down again since a couple of weeks.

Read the [Nowcast methodology](#)
Tarik.rharrab@bnpparibas.com

ECONOMIC SCENARIO AND FORECASTS

GDP growth and Inflation

%	GDP Growth					Inflation			
	2024	2025	2026 e	2027 e		2024	2025	2026 e	2027 e
United States	2,8	2,1	2,7	2,0		2,9	2,7	3,2	2,5
Japan	0,1	1,2	0,8	0,9		2,7	3,1	2,0	2,5
United Kingdom	1,1	1,3	0,6	-		2,5	3,4	3,6	3,3
Euro Area	0,9	1,5	1,6	1,6		2,4	2,1	1,9	2,3
Germany	-0,5	0,4	1,4	1,5		2,5	2,2	1,6	2,3
France	1,1	0,9	1,3	1,3		2,3	1,0	1,1	1,5
Italy	0,5	0,7	1,0	0,9		1,1	1,7	1,5	1,9
Spain	3,5	2,8	2,5	2,3		2,8	2,7	2,3	1,9
China	5,0	5,0	4,7	4,5		0,2	0,1	0,9	1,0
India*	7,1	7,6	7,0	6,8		4,6	2,1	4,1	4,3
Brazil	3,4	2,2	1,8	1,4		4,4	5,0	4,0	3,8

Source : BNP Paribas (e: Estimates & forecasts)

Last update: 13 April 2026

* Fiscal year from April 1 of year N to March 31 of year N+1

Interest and exchange rates

Interest rates, %		2026				2027
		Spot 17/04	Q2	Q3	Q4	Q4
US	Fed Funds (upper limit)	3.75	3.75	3.75	3.75	3.75
	T-Note 10y	4.24	4.35	4.45	4.50	-
	deposit rate	2.00	2.25	2.75	2.75	-
	Bund 10y	2.93	3.00	3.05	3.10	-
	OAT 10y	3.51	3.65	3.80	3.87	-
Eurozone	BTP 10y	3.68	3.58	3.70	3.75	-
	BONO 10y	3.39	3.42	3.50	3.55	-
	Base rate	3.75	-	-	-	-
UK	Gilts 10y	4.76	4.50	4.40	4.30	-
	Bol Rate	0.75	1.00	1.25	1.25	2.00
Japan	JGB 10y	2.39	2.00	2.05	2.10	-
Exchange Rates		2026				2027
		Spot 17/04	Q2	Q3	Q4	Q4
USD	EUR / USD	1.18	1.18	1.19	1.20	1.22
	USD / JPY	158	158	159	160	160
	GBP / USD	1.36	1.30	1.29	1.30	1.30
EUR	EUR / GBP	0.87	0.91	0.92	0.92	0.94
	EUR / JPY	186	186	189	192	195
Brent		2026				2027
		Spot 17/04	Q2	Q3	Q4	Q4
Quarter Average						
Brent USD/bbl		91	57	63	63	73

Sources: BNP Paribas (Market Economics, Interest Rate Strategy, FX Strategy, Commodities Desk Strategy). Last update: 20/04/2026

Contacts

Stephane.colliac@bnpparibas.com
Tarik.rharrab@bnpparibas.com


BNP PARIBAS
The bank for a changing world

We invite you to follow our [Ecolnsights](#) analyses on the war in Iran.
The “Growth and Inflation” baseline scenarios will be fully updated in April.

UNITED STATES

The US economy is expected to grow above its potential pace in 2026, with an average annual growth rate of +2.7%, a yearly improvement (+2.1% in 2025). This apparent resilience to uncertainty, tariff and energy shocks, together with above-trend productivity growth, masks K-shaped growth, supported by investment linked to AI-optimism and consumption by the wealthiest amid a wealth effect (historically high stock market valuations). The inflation overshooting of the target is set to continue (+3.2% in 2026) until at least 2028 due to tariffs – although the impact of these appears to be less significant than expected – and the rise in oil prices. The labour market is experiencing a slowdown in both demand and supply, linked to a less dynamic economy than after the post-pandemic reopening due to the administration's immigration policy. The rebalancing of risks surrounding the Fed's dual mandate and its emphasis on the ‘employment’ component has triggered a new cycle of rate cuts. The FOMC implemented three rate cuts (-75 bps cumulative) in total in 2025, and we expect the Fed Funds target range to be held steady à 3,5% - 3,75% throughout 2026.

CHINA

Economic growth accelerated to +5.0% y/y in Q1 2026, vs. +4.5% in Q4 2025. It stood at 5% in 2025 as a whole and it is expected to slow moderately in 2026. Growth remains characterized by a K-shaped trajectory. On the one hand, exports are still dynamic, and Chinese goods are likely to remain competitive in the short term. On the other hand, domestic demand remains sluggish. It rebounded in the first two months of 2026 but weakened again in March. The crisis in the property sector continues and confidence of households and private investors remains low. The authorities will maintain supportive fiscal and monetary policies, but their measures will continue to be modest, even in a less supportive global environment. Deflationary pressures are expected to decline in 2026, notably thanks to higher global energy prices and anti-involution measures implemented by the authorities.

EUROZONE

After holding up well in 2025 (1.5%), growth is expected to strengthen in 2026 (+1.6%). It is expected to grow at a stable quarterly rate of 0.5% over the year. Favourable carryover effect would keep the average annual unchanged in 2027 (1.6%), despite a lower quarterly profile (+0.3% q/q). The roll-out of fiscal measures in Germany and the planned increase in military spending and AI-related investment in Europe, against a backdrop of labour market resilience, underpin this scenario. This momentum will nevertheless be undermined by the energy shock linked to developments in the Middle East, which leads us to revise our monetary policy scenario for 2026: the ECB would implement three successive rate hikes (June, July, September), bringing the deposit rate to 2.75%. In this context, this tightening would increase uncertainty regarding our growth outlook, without invalidating it at this stage.

FRANCE

GDP growth reached 0.2% q/q in Q4 (after 0.5% q/q in Q3), driven by private consumption (+0.3% q/q), household investment (+1.1% q/q) and the exports of aeronautics. Inflation was quite low in 2025 (1%) and should not accelerate in 2026 (1.1%). In 2026, GDP growth should increase to 1.3%, driven by demand (business investment, exports, private consumption), after a lower performance in 2025 (0.9%).

UNITED KINGDOM

Economic activity is expected to slow in 2026, with growth easing to 0.6% after 1.4% in 2025. The energy shock linked to the war in Iran would generate renewed inflationary pressures, and instead of gradually converging back to target, inflation is projected to reach 3.6% a/a before declining only gradually to 3.3% a/a in 2027. In this context, and contrary to the previously expected monetary easing, we now anticipate a tightening of 50 basis points in 2026. Growth momentum would remain weak, with quarterly expansion averaging around +0.1%. Activity would be mainly supported by public spending, particularly through increased public investment; defense investment plans in the UK and across Europe are expected to provide some support to economic activity. Conversely, persistent labor market tightness, risks of de-anchoring of inflation expectations (and thus second-round inflationary effects), as well as deterioration in corporate conditions could weigh further on the outlook.

JAPAN

Japanese growth is expected to slightly exceed its potential level in 2026. In 2025, the average annual growth rate stood at +1.2% and is expected to slow to +0.8% in 2026, as fiscal policy should support activity while supply constraints and inflation temper it. Underlying inflation has exceeded the +2% y/y target since 2022. As a result, solid nominal wage increases, which are expected to continue in 2026, are proving insufficient to stem the decline in real incomes and support household demand. The level of public debt is contributing to bond pressure, illustrated by record 10-year and 30-year rates over more than two decades, probably reinforced by expansionary fiscal policy and the spacing of key rate hikes. In fact, in 2024, the Bank of Japan began a cycle of ‘less accommodative’ policy and the policy rate currently stands at +0.75% (previously negative). We expect the process to extend, including one hike in Q2 2026 (+25pb), until a +2.0% terminal rate is reached at the end of 2027.

EXCHANGE RATES

We expect the dollar to continue depreciating against the euro. Structural changes in fiscal policy and the expected strengthening of growth in Europe, coupled with the slowdown in the United States, underpin our forecast of a gradual and moderate rise in the EUR/GBP exchange rate by the end of 2026 (1.20 in Q4 2026). Conversely, we anticipate a slight depreciation of the yen and the GBP against the dollar (USD/JPY 160 and GBP/USD 1.3 in Q4 2026).



BNP PARIBAS

The bank for a changing world



Energy shock: Dashboard 2026 vs. 2022



Energy shock: Dashboard 2026 vs. 2022

Will the same causes produce the same effects? In other words, will the outbreak of the war in Iran and the resulting surge in oil and gas prices lead to a comparable inflationary shock to the one seen in 2022? Will their negative effects on growth be the same as those for the war in Ukraine and the subsequent energy shock? Although there are similarities, there are many uncertainties.

Today, inflationary pressure should be less strong, as demand is less dynamic and supply is less constrained. Therefore, the conditions are seemingly not met for a significant propagation of the rise in energy prices. However, this will need to be closely monitored as transmission lags matter, and the return to normal will take time.

In addition, central banks have learned from the inflationary shock of 2021–2023. They are ready to react more quickly to counter any spillovers, any second-round effects and any spiral between price increases, inflation expectations and wages.

We have selected a set of indicators to track the impact of this new energy shock, caused by the war in the Middle East, on activity and prices in the Eurozone, the United States, oil and gas markets and emerging countries, and to see how much the current situation resembles the situation in 2022 at the outbreak of the conflict in Ukraine.

This dashboard featuring graphs and comments will be updated on a monthly basis for as long as necessary.



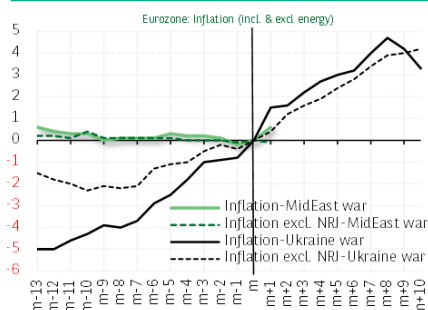
We have selected two inflation measures (with and without energy) and six survey data:

- Business confidence, as measured by the PMIs in the manufacturing and services sectors;
- The “input prices” and “output prices” components of the composite PMI (in order to identify direct inflationary pressures);
- The “supplier delivery times” component of the manufacturing PMI (a direct indicator of possible supply difficulties and supply-demand imbalance, and therefore, indirectly, of potential inflationary pressures in the making);
- Household confidence, as reflected in its “assessment of financial situation in the next 12 months” component (in order to capture the impact on purchasing power).

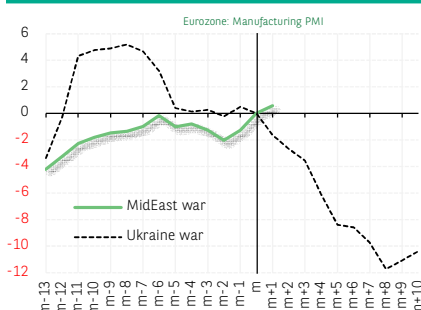
The trends in each of these indicators are observed relative to month $m=0$, when the conflict began, more or less during the year that follows and the year that precedes it. We are interested in the variations in each of them, as well as the broader trends within which they fit.

The assessment of the available data to date is relatively positive, as the immediate reaction of confidence surveys and inflation was limited and the overall developments were less unfavourable in March 2026 than in March 2022. This is good news, but it does not prejudice what will happen next at all. It is likely that the deterioration observed will continue: the question is by how much.

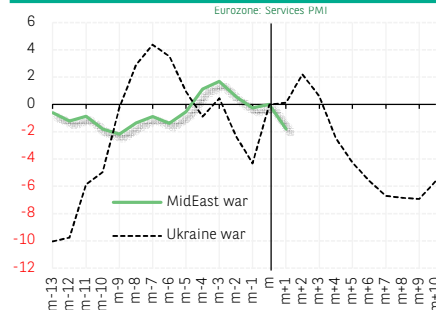
March 2026:
A more limited inflation rebound



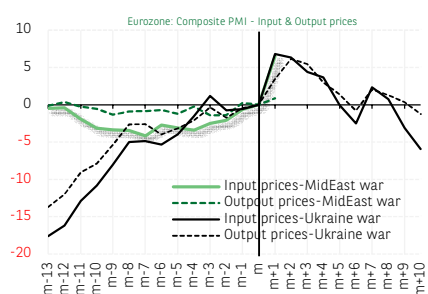
March 2026: Business confidence in the manufacturing sector remains well oriented



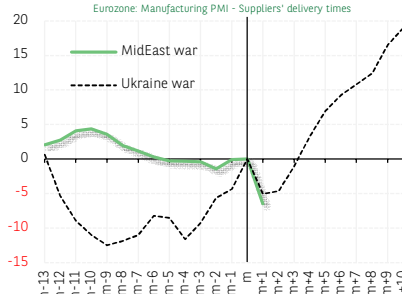
March 2026: Business confidence in services on a downtrend



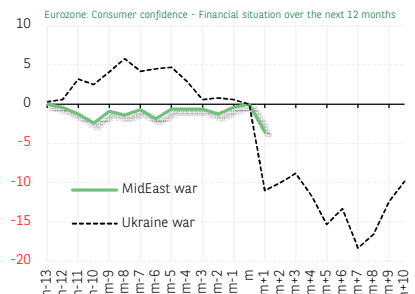
March 2026:
Input prices rose but not output prices



March 2026:
Delivery times eased



March 2026:
Consumer confidence less affected



Change since $m = 0$ = February 2026 / February 2022

Sources: S&P Global, Eurostat, European Commission, Macrobond, BNP Paribas



The Iran war delivered a quick, though relatively contained, negative impact to US activity data and surveys.

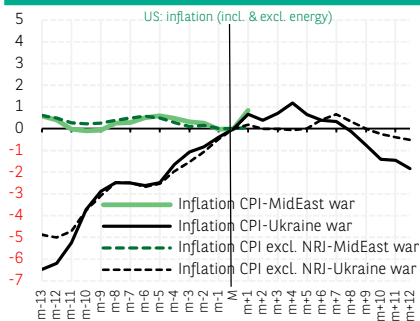
By March, CPI inflation recorded its largest monthly increase since 2022 and reached +3.3% y/y (+0.9 pp) – almost entirely on the back of gasoline prices, with the non-energy index remaining virtually stable.

Business sentiment, which was on an upward trajectory before the shock, stayed resilient but signalled a faster input-price growth (a leading indicator of inflation) and longer delivery times, both directly linked to Middle East turmoil and coming on top of the issue of tariffs.

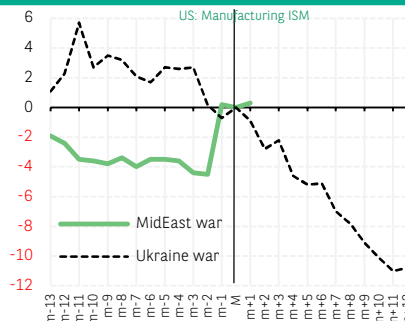
Meanwhile, the outlook of households, which were already low on optimism, has further deteriorated, while inflation expectations were rising.

However, macro conditions are significantly less inflationary than in 2022, and small businesses have not yet raised their price plans.

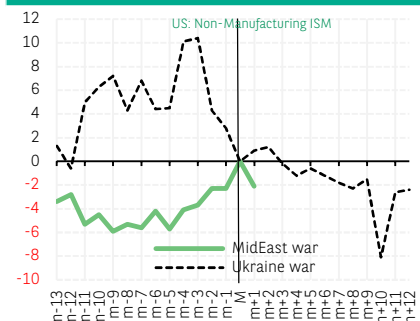
March 2026:
Energy-related inflation bounce



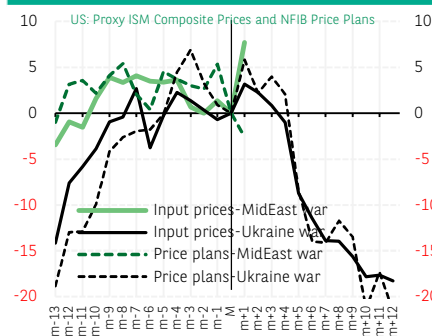
March 2026: Positive trend for manufacturing
business sentiment



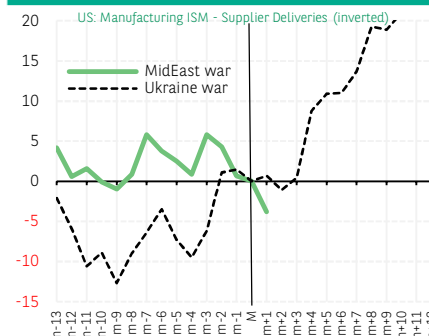
March 2026: Services business sentiment down
but still buoyant



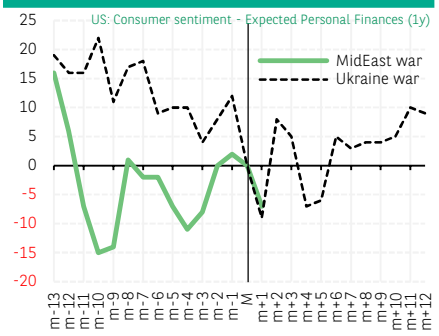
March 2026: Sharp rise in input prices and price
plans scaled back



March 2026:
Longer delivery times



April 2026:
Growing concerns among households



Change since m = 0 = February 2026 / February 2022

Source: BLS, ISM, NFIB, University of Michigan, BNP Paribas



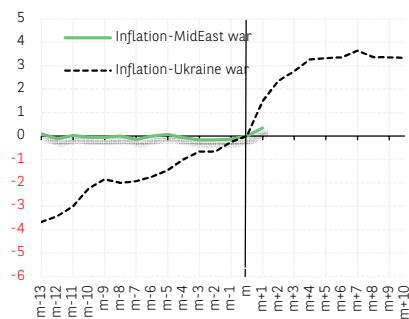
EMERGING ECONOMIES

In March 2026, the inflationary impact of the surge in oil and gas prices remained moderate, both in absolute terms with an average inflation rate for the main emerging countries of 4.3% compared to 3.9% in February, and relative to 2022. The absence of contagion to agricultural and food prices is the main explanation. Manufacturers' opinion on input prices is, moreover, less degraded than in 2022. However, a catch-up should occur with the expected release of the rise in fertilizer and petroleum-derived input prices to all prices.

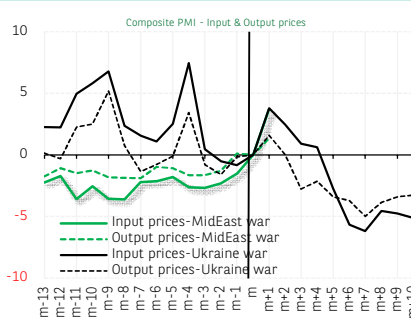
The business climate has significantly deteriorated both in absolute and relative terms. This deterioration, however, follows a significant recovery in February 2026. On the contrary, before the 2022 shock, the business climate was deteriorating. The impact on activity may be less severe this time.

According to estimates by the Institute of International Finance (IIF), portfolio investment outflows by non-residents in major emerging markets reached USD 70 bn in March 2026, a record. However, South Korea and Taiwan, which should rather be considered as developed countries, account for three-quarters of this. Overall, the financial stress triggered by the energy shock on emerging countries was, by the end of March 2026, slightly less significant than in 2022.

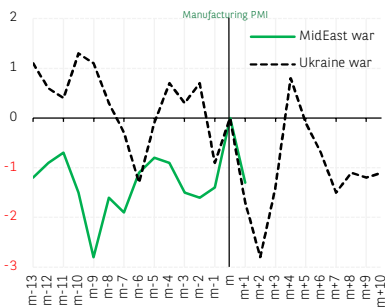
March 2026 :
A much less severe inflation rebound



March 2026 : More muted anticipations of higher input prices

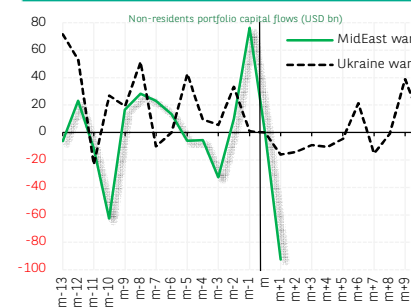


March 2026 : Same decline in business climate in the manufacturing sector



Change since m = 0 = February 2026 / February 2022

March 2026 :
A much larger sell-off



Sources : National Statistical Offices, IIF, S&P Global, BNP Paribas



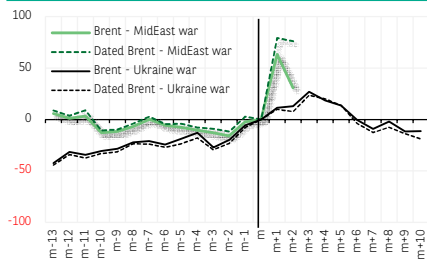
The energy shock implied by the war in the Middle East has, for now, induced stronger reaction in oil and European gas spot prices than those observed following Russia's invasion of Ukraine.

Oil: The loss of barrels available on the market due to the remaining closure of the Strait of Hormuz, repeated attacks on production capacities in the Gulf and constraints on traffic in the Strait increase the risk of a short-term physical oil shortage and resulted in a spike of the physical barrel price (Dated Brent). For as long as this situation remains and increases tensions on the market, one must look at the evolution of the physical barrel price, more than that of futures price, to estimate the effect of the energy shock on inflation.

Gas: The European gas spot price (TTF) has reacted moderately when compared to that of oil. European countries benefit from limited direct exposure to Gulf gas and the end of winter structurally reduce their demand, easing tensions on the gas market. The Asian market (main importer of LNG from the Gulf) could put pressure on prices but those are reduced for the time being due to the decline in LNG demand in this region (switch to coal).

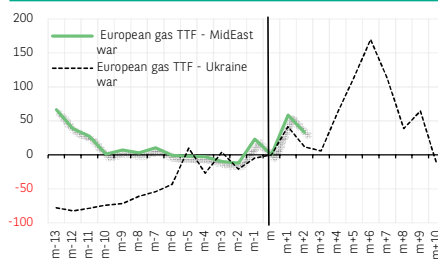
Electricity: Unlike 2022, wholesale electricity prices in Europe have been falling since the start of the conflict. Gas prices remain an important determinant of wholesale electricity prices, but progress in decarbonization of the electricity mix since 2022 and favorable weather conditions explain this recent development.

Mars 2026 : Spread between the physical barrel price and futures price



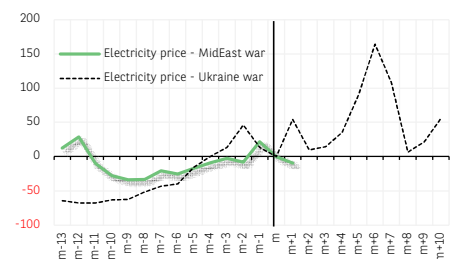
Note : change % since 02/27/2026 - 02/23/2022; last price 04/14/2026

Mars 2026 :
Fall in LNG prices in Europe



Note : change % since 02/27/2026 - 02/23/2022; last price 04/14/2026

Mars 2026 : Wholesale electricity prices in Europe have not reacted yet



Note : change % since 02/27/2026 - 02/23/2022

Sources : Bloomberg, Ember, BNP Paribas



Isabelle Mateos y Lago Group Chief Economist	+33 1 87 74 01 97	isabelle.mateosylago@bnpparibas.com
Hélène Baudchon Deputy Chief Economist, Head of Global Macroeconomic Research	+33 1 58 16 03 63	helene.baudchon@bnpparibas.com

Stéphane Alby Maghreb, Middle East	+33 1 42 98 02 04	stephane.alby@bnpparibas.com
Lucie Barette Europe, Germany, Italy, Spain	+33 1 87 74 02 08	lucie.barette@bnpparibas.com
Anis Bensaidani United States, Japan	+33 1 87 74 01 51	anis.bensaidani@bnpparibas.com
Céline Choulet Banking Economics	+33 1 43 16 95 54	celine.choulet@bnpparibas.com
Stéphane Colliac Head of Advanced Economies – France	+33 1 42 98 26 77	stephane.colliac@bnpparibas.com
Guillaume Derrien Europe, Eurozone – World Trade	+33 1 55 77 71 89	guillaume.a.derrien@bnpparibas.com
Pascal Devaux Middle East, Western Balkans – Energy	+33 1 43 16 95 51	pascal.devaux@bnpparibas.com
Hélène Drouot Latin America	+33 1 42 98 33 00	helene.drouot@bnpparibas.com
François Faure Head of Country Risk – Türkiye – Argentina	+33 1 42 98 79 82	francois.faure@bnpparibas.com
Salim Hammad Head of Data & Analytics – Brazil	+33 1 42 98 74 26	salim.hammad@bnpparibas.com
Thomas Humblot Banking Economics	+33 1 40 14 30 77	thomas.humblot@bnpparibas.com
Cynthia Kalasopatan Antoine Central Europe, Ukraine	+33 1 53 31 59 32	cynthia.kalasopatanantoine@bnpparibas.com
Johanna Melka Asia	+33 1 58 16 05 84	johanna.melka@bnpparibas.com
Marianne Mueller Europe, United Kingdom, Portugal, Greece	+33 1 40 14 48 11	marianne.mueller@bnpparibas.com
Christine Peltier Head of Emerging economies – Asia	+33 1 42 98 56 27	christine.peltier@bnpparibas.com
Lucas Plé Sub-saharan Africa, Colombia, Central America	+33 1 40 14 50 18	lucas.ple@bnpparibas.com
Jean-Luc Proutat Head of Economic Projections	+33 1 58 16 73 32	jean-luc.proutat@bnpparibas.com
Laurent Quignon Head of Banking Economics	+33 1 42 98 56 54	laurent.quignon@bnpparibas.com
Tarik Rharrab Data scientist	+33 1 43 16 95 56	tarik.rharrab@bnpparibas.com

Mickaëlle Fils Marie-Luce Media contact	+33 1 42 98 48 59	mickaelle.filsmarie-luce@bnpparibas.com
---	-------------------	---



The information and opinions contained in this document have been obtained from, or are based on, public sources believed to be reliable, but there is no guarantee of the accuracy, completeness or fitness for any particular purpose of such information and such information may not have been independently verified by BNPP or by any person. None of BNPP, any of its subsidiary undertakings or affiliates or its members, directors, officers, agents or employees accepts any responsibility or liability whatsoever or makes any representation or warranty, express or implied, as to the accuracy and completeness of the information or any opinions based thereon and contained in this document and it should not be relied upon as such. This document does not constitute research, as defined under MIFID II, or form any part of any offer to sell or issue and is not a solicitation of any offer to purchase any financial instrument, nor shall it or any part of it nor the fact of its distribution form the basis of, or be relied on, in connection with any contract or investment decision. Information and opinions contained in this document are published for the information of recipients, but are not to be relied upon as authoritative or taken in substitution for the exercise of judgment by any recipient, are subject to change without notice. In providing this document, BNPP does not offer investment, financial, legal, tax or any other type of advice to, nor has any fiduciary duties towards, recipients. Any reference to past performance is not indicative of future performance, which may be better or worse than prior results. Any hypothetical, past performance simulations are the result of estimates made by BNPP, as of a given moment, on the basis of parameters, market conditions, and historical data selected by BNPP, and should not be used as guidance, in any way, of future performance. To the fullest extent permitted by law, no BNPP group company accepts any liability whatsoever (including in negligence) for any direct or consequential loss arising from any use of or reliance on material contained in this document even when advised of the possibility of such losses. All estimates and opinions included in this document are made as of the date of this document. Unless otherwise indicated in this document there is no intention to update this document. BNPP may make a market in, or may, as principal or agent, buy or sell securities of any issuer or person mentioned in this document or derivatives thereon. Prices, yields and other similar information included in this document are included for information purposes however numerous factors will affect market pricing at any particular time, such information may be subject to rapid change and there is no certainty that transactions could be executed at any specified price. BNPP may have a financial interest in any issuer or person mentioned in this document, including a long or short position in their securities and/or options, futures or other derivative instruments based thereon, or vice versa. BNPP, including its officers and employees may serve or have served as an officer, director or in an advisory capacity for any person mentioned in this document. BNPP may, from time to time, solicit, perform or have performed investment banking, underwriting or other services (including acting as adviser, manager, underwriter or lender) within the last 12 months for any person referred to in this document. BNPP may be a party to an agreement with any person relating to the production of this document. BNPP may to the extent permitted by law, have acted upon or used the information contained herein or in the document, or the analysis on which it was based, before the document was published. BNPP may receive or intend to seek compensation for investment banking services in the next three months from or in relation to any person mentioned in this document. Any person mentioned in this document may have been provided with relevant sections of this document prior to its publication in order to verify its factual accuracy.

This document was produced by a BNPP group company. This document is for the use of intended recipients and may not be reproduced (in whole or in part) or delivered or transmitted to any other person without the prior written consent of BNPP. By accepting or accessing this document you agree to this.

BNP Paribas is a société anonyme incorporated in France, licensed and supervised as a credit institution by the European Central Bank (ECB) and as an investment services provider by the Autorité de contrôle prudentiel et de résolution (ACPR) and Autorité des marchés financiers (AMF), and having its registered office at 16, boulevard des Italiens, 75009 Paris, France. Some or all of the information contained in this document may already have been published on <https://globalmarkets.bnpparibas.com>.

For country-specific disclaimers (United States, Canada, United Kingdom, Germany, Belgium, Ireland, Italy, Netherlands, Portugal, Spain, Switzerland, Brazil, Turkey, Israel, Bahrain, South Africa, Australia, China, Hong Kong, India, Indonesia, Japan, Malaysia, Singapore, South Korea, Taiwan, Thailand, Vietnam) please type the following URL to access the applicable legal notices: https://globalmarkets.bnpparibas.com/gm/home/Markets_360_Country_Specific_Notices.pdf

Subscribe to our publications:

ECONOMIC RESEARCH



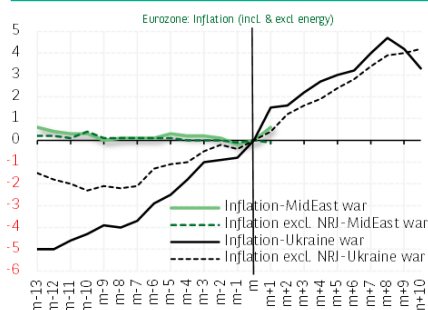
We have selected two inflation measures (with and without energy) and six survey data:

- Business confidence, as measured by the PMIs in the manufacturing and services sectors;
- The "input prices" and "output prices" components of the composite PMI (in order to identify direct inflationary pressures);
- The "supplier delivery times" component of the manufacturing PMI (a direct indicator of possible supply difficulties and supply-demand imbalance, and therefore, indirectly, of potential inflationary pressures in the making);
- Household confidence, as reflected in its "assessment of financial situation in the next 12 months" component (in order to capture the impact on purchasing power).

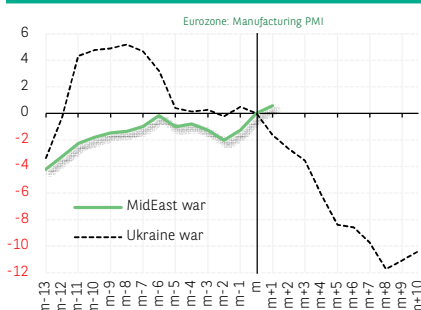
The trends in each of these indicators are observed relative to month $m=0$, when the conflict began, more or less during the year that follows and the year that precedes it. We are interested in the variations in each of them, as well as the broader trends within which they fit.

The assessment of the available data to date is relatively positive, as the immediate reaction of confidence surveys and inflation was limited and the overall developments were less unfavourable in March 2026 than in March 2022. This is good news, but it does not prejudice what will happen next at all. It is likely that the deterioration observed will continue: the question is by how much.

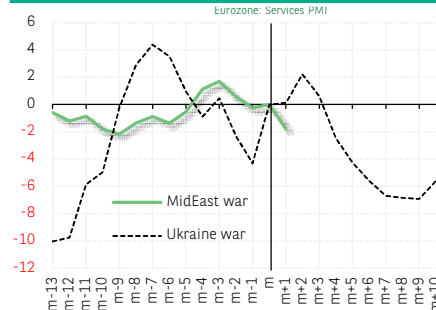
March 2026:
A more limited inflation rebound



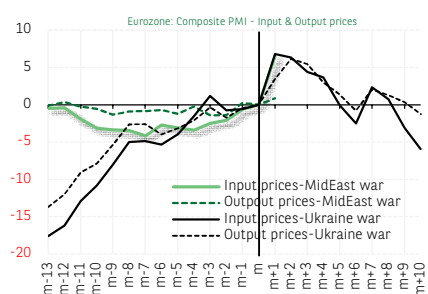
March 2026: Business confidence in the manufacturing sector remains well oriented



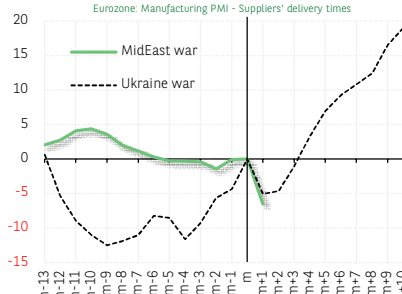
March 2026: Business confidence in services on a downtrend



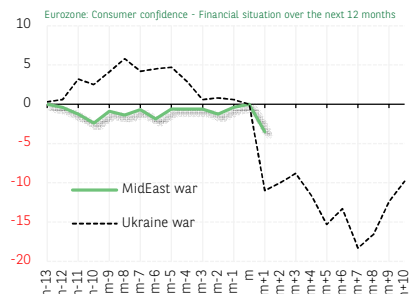
March 2026:
Input prices rose but not output prices



March 2026:
Delivery times eased



March 2026:
Consumer confidence less affected



Change since $m=0$ = February 2026 / February 2022

Sources: S&P Global, Eurostat, European Commission, Macrobond, BNP Paribas



The Iran war delivered a quick, though relatively contained, negative impact to US activity data and surveys.

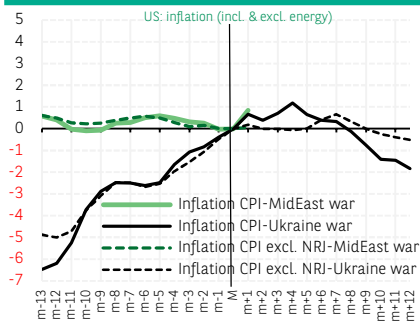
By March, CPI inflation recorded its largest monthly increase since 2022 and reached +3.3% y/y (+0.9 pp) – almost entirely on the back of gasoline prices, with the non-energy index remaining virtually stable.

Business sentiment, which was on an upward trajectory before the shock, stayed resilient but signalled a faster input-price growth (a leading indicator of inflation) and longer delivery times, both directly linked to Middle East turmoil and coming on top of the issue of tariffs.

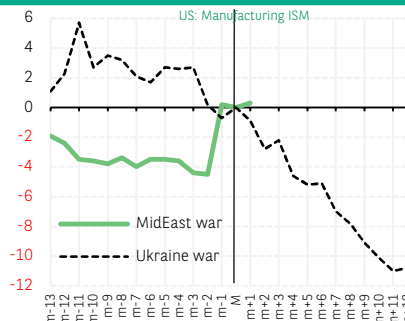
Meanwhile, the outlook of households, which were already low on optimism, has further deteriorated, while inflation expectations were rising.

However, macro conditions are significantly less inflationary than in 2022, and small businesses have not yet raised their price plans.

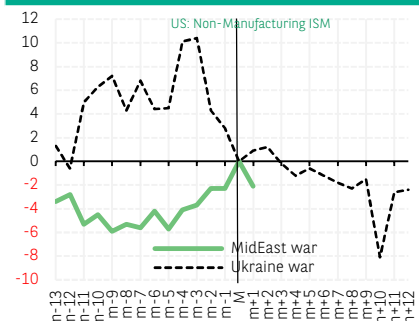
March 2026:
Energy-related inflation bounce



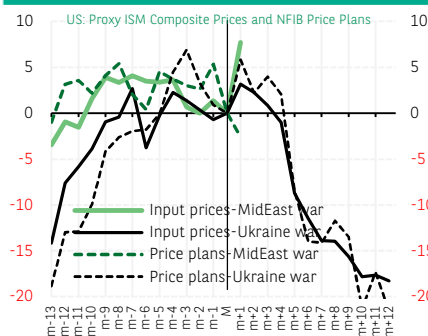
March 2026: Positive trend for manufacturing
business sentiment



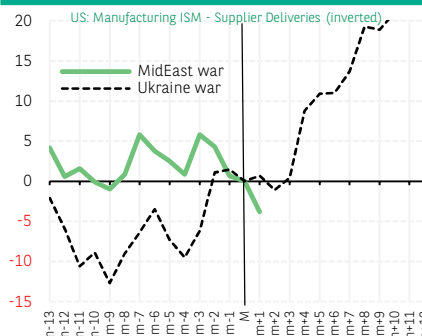
March 2026: Services business sentiment down
but still buoyant



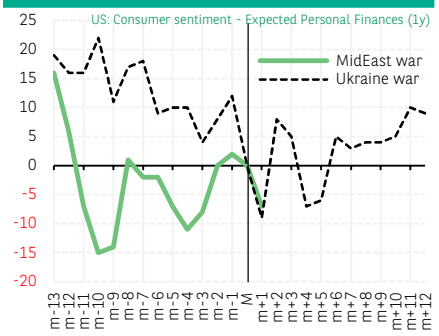
March 2026: Sharp rise in input prices and price
plans scaled back



March 2026:
Longer delivery times



April 2026:
Growing concerns among households



Change since m = 0 = February 2026 / February 2022

Source: BLS, ISM, NFIB, University of Michigan, BNP Paribas



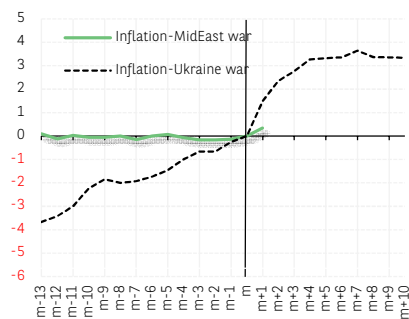
EMERGING ECONOMIES

In March 2026, the inflationary impact of the surge in oil and gas prices remained moderate, both in absolute terms with an average inflation rate for the main emerging countries of 4.3% compared to 3.9% in February, and relative to 2022. The absence of contagion to agricultural and food prices is the main explanation. Manufacturers' opinion on input prices is, moreover, less degraded than in 2022. However, a catch-up should occur with the expected release of the rise in fertilizer and petroleum-derived input prices to all prices.

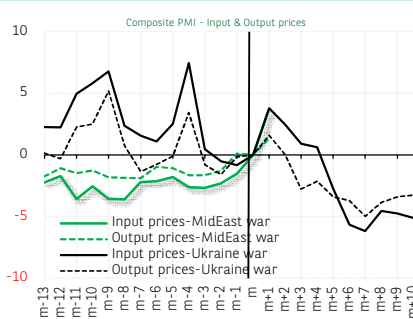
The business climate has significantly deteriorated both in absolute and relative terms. This deterioration, however, follows a significant recovery in February 2026. On the contrary, before the 2022 shock, the business climate was deteriorating. The impact on activity may be less severe this time.

According to estimates by the Institute of International Finance (IIF), portfolio investment outflows by non-residents in major emerging markets reached USD 70 bn in March 2026, a record. However, South Korea and Taiwan, which should rather be considered as developed countries, account for three-quarters of this. Overall, the financial stress triggered by the energy shock on emerging countries was, by the end of March 2026, slightly less significant than in 2022.

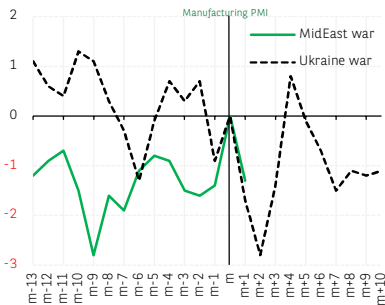
March 2026 :
A much less severe inflation rebound



March 2026 : More muted anticipations of higher input prices

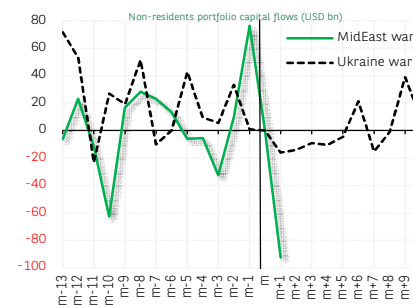


March 2026 : Same decline in business climate in the manufacturing sector



Change since m = 0 = February 2026 / February 2022

March 2026 :
A much larger sell-off



Sources : National Statistical Offices, IIF, S&P Global, BNP Paribas



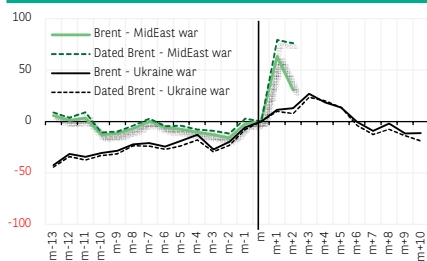
The energy shock implied by the war in the Middle East has, for now, induced stronger reaction in oil and European gas spot prices than those observed following Russia's invasion of Ukraine.

Oil: The loss of barrels available on the market due to the remaining closure of the Strait of Hormuz, repeated attacks on production capacities in the Gulf and constraints on traffic in the Strait increase the risk of a short-term physical oil shortage and resulted in a spike of the physical barrel price (Dated Brent). For as long as this situation remains and increases tensions on the market, one must look at the evolution of the physical barrel price, more than that of futures price, to estimate the effect of the energy shock on inflation.

Gas: The European gas spot price (TTF) has reacted moderately when compared to that of oil. European countries benefit from limited direct exposure to Gulf gas and the end of winter structurally reduce their demand, easing tensions on the gas market. The Asian market (main importer of LNG from the Gulf) could put pressure on prices but those are reduced for the time being due to the decline in LNG demand in this region (switch to coal).

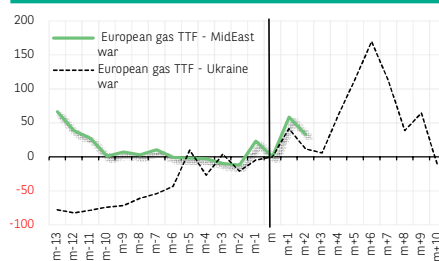
Electricity: Unlike 2022, wholesale electricity prices in Europe have been falling since the start of the conflict. Gas prices remain an important determinant of wholesale electricity prices, but progress in decarbonization of the electricity mix since 2022 and favorable weather conditions explain this recent development.

Mars 2026 : Spread between the physical barrel price and futures price



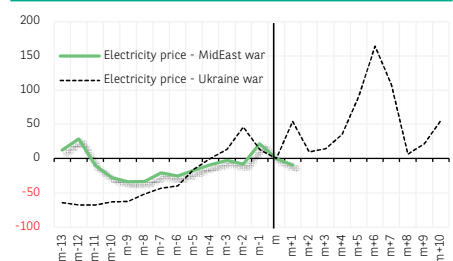
Note : change % since 02/27/2026 - 02/23/2022; last price 04/14/2026

Mars 2026 :
Fall in LNG prices in Europe



Note : change % since 02/27/2026 - 02/23/2022; last price 04/14/2026

Mars 2026 : Wholesale electricity prices in Europe have not reacted yet



Note : change % since 02/27/2026 - 02/23/2022

Sources : Bloomberg, Ember, BNP Paribas



LATIN AMERICA: MORE EXPOSED TO INFLATIONARY PRESSURES THAN TO DISRUPTIONS IN HYDROCARBON SUPPLIES

Hélène Drouot

Insufficient refining capacity

Energy trade balance, % of GDP, 2025

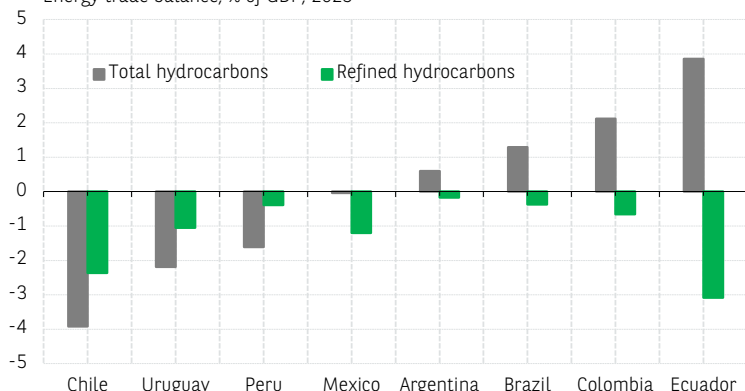


CHART 1

SOURCE: IMF, ITC, BNP PARIBAS

Signs of resilience: very moderate corrections in the foreign exchange market since the start of the conflict

Change against USD

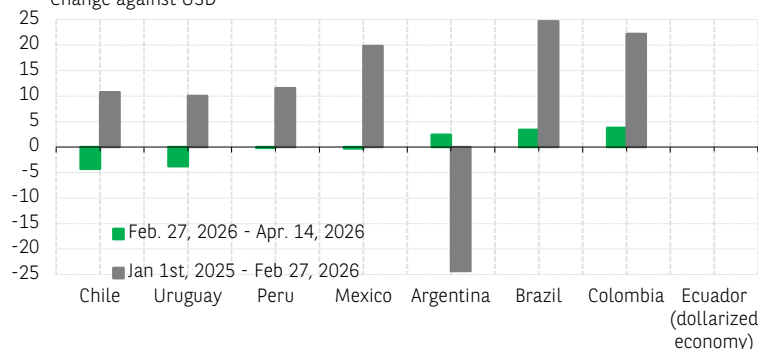


CHART 2

SOURCES: CENTRAL BANKS, BNP PARIBAS

Latin America is considerably less exposed than other emerging regions to the repercussions of the war in the Middle East. This is mainly due to its very low risk of hydrocarbon supply disruptions: the vast majority of imported hydrocarbons come from the United States and other countries in the region, with only a negligible portion coming from the Middle East. Furthermore, several countries are net exporters (Argentina, Brazil, Colombia and Ecuador (shown in grey in *Chart 1*)).

Due to this low level of vulnerability, the currencies of the main Latin American countries have reacted very little since the end of February (see *Chart 2*). The conflict in the Middle East has, admittedly, interrupted the trend of currency appreciation (against the USD) in countries that are net importers of hydrocarbons, a trend that has been observed since January 2025. However, these depreciations have remained very moderate, and the currencies of countries that are net exporters of hydrocarbons have even shown a slight appreciation as of 14 April.

However, refining capacity is limited, even in net hydrocarbon-exporting countries, which means that all the major countries in the region are therefore net importers of refined petroleum products (shown in green in *Chart 1*). Consequently, their balance of payments is exposed to fluctuations in the prices of refined hydrocarbons.

Net hydrocarbon importers, broadly defined to include Chile, Peru, Mexico, Uruguay and the Central American countries, are the most vulnerable, although exports of gold from Peru, crude oil from Mexico and copper from Chile will partially offset the impact of rising import prices. Chile and Uruguay have the largest energy deficits (-4% and -2.2% of GDP respectively). This largely explains why the Chilean and Uruguayan pesos have seen the sharpest depreciation against the USD since the start of the conflict, with declines of 4.3% and 3.8%, respectively. In the short term, however, the moderate levels of current account deficits will help to absorb the external shock.

Fiscal policy remains predominantly restrictive across Latin American countries. With the exception of Brazil, governments have generally opted to pass on the shock through price adjustments, indicative of limited room for manoeuvre and a desire to preserve the credibility of their economic policies. This stance is more a reflection of financing constraints than a matter of choice. In Chile and Colombia (although fiscal policy there is accommodative), existing mechanisms for controlling fuel prices were gradually phased out during March.

This decision implies a more significant transmission of the energy shock to domestic prices, the full effects of which are expected to materialise in Q2. Inflationary pressures were already evident in March, driven largely by the transport component, which accounts for nearly 15% of the total index on average across all countries in the region. This brings to an end the disinflationary trend observed since the second half of 2023 in Brazil, Chile, Mexico and Peru. On the monetary front, the easing cycle appears to have come to an end in Chile and Peru. In Mexico, the central bank has not ruled out a final rate cut, provided the situation in the Middle East stabilises, with the next meeting scheduled for 7 May. Brazil's central bank began its monetary easing in March, although it may proceed at a more gradual pace than initially anticipated. Finally, against a backdrop of ongoing inflation, Colombia stands out as the only major central bank in Latin America expected to raise its short-term interest rates.

Hélène Drouot
helene.drouot@bnpparibas.com

ECONOMIC RESEARCH



BNP PARIBAS

The bank
for a changing
world

GROUP ECONOMIC RESEARCH

ECOINSIGHT

Structural or thematic topics

ECOPERSPECTIVES

Analyses and forecasts with a focus on developed and emerging economies.

ECOFASH

Data releases, major economic events

ECOWEEK

Recent economic and policy developments, data comments, economic calendar, forecasts

ECOPULSE

Easy-to-read monthly overview of inflation dynamics

ECOCHARTS

Monthly barometer of key economic indicators of the main OECD countries.

ECOTV

What is the key event of the month?

You will find the answer in our economy broadcast.

MACROWAVES

Our economic podcast

HOW TO RECEIVE OUR PUBLICATIONS

SUBSCRIBE ON OUR WEBSITE
see the **Economic Research website**

&

FOLLOW US ON LINKEDIN
see the Economic Research linkedin page

OR TWITTER
see the Economic Research Twitter page



The information and opinions contained in this document have been obtained from, or are based on, public sources believed to be reliable, but there is no guarantee of the accuracy, completeness or fitness for any particular purpose of such information and such information may not have been independently verified by BNPP or by any person. None of BNPP, any of its subsidiary undertakings or affiliates or its members, directors, officers, agents or employees accepts any responsibility or liability whatsoever or makes any representation or warranty, express or implied, as to the accuracy and completeness of the information or any opinions based thereon and contained in this document and it should not be relied upon as such. This document does not constitute research, as defined under MIFID II, or form any part of any offer to sell or issue and is not a solicitation of any offer to purchase any financial instrument, nor shall it or any part of it nor the fact of its distribution form the basis of, or be relied on, in connection with any contract or investment decision. Information and opinions contained in this document are published for the information of recipients, but are not to be relied upon as authoritative or taken in substitution for the exercise of judgment by any recipient, are subject to change without notice. In providing this document, BNPP does not offer investment, financial, legal, tax or any other type of advice to, nor has any fiduciary duties towards, recipients. Any reference to past performance is not indicative of future performance, which may be better or worse than prior results. Any hypothetical, past performance simulations are the result of estimates made by BNPP, as of a given moment, on the basis of parameters, market conditions, and historical data selected by BNPP, and should not be used as guidance, in any way, of future performance. To the fullest extent permitted by law, no BNPP group company accepts any liability whatsoever (including in negligence) for any direct or consequential loss arising from any use of or reliance on material contained in this document even when advised of the possibility of such losses. All estimates and opinions included in this document are made as of the date of this document. Unless otherwise indicated in this document there is no intention to update this document. BNPP may make a market in, or may, as principal or agent, buy or sell securities of any issuer or person mentioned in this document or derivatives thereon. Prices, yields and other similar information included in this document are included for information purposes however numerous factors will affect market pricing at any particular time, such information may be subject to rapid change and there is no certainty that transactions could be executed at any specified price. BNPP may have a financial interest in any issuer or person mentioned in this document, including a long or short position in their securities and/or options, futures or other derivative instruments based thereon, or vice versa. BNPP, including its officers and employees may serve or have served as an officer, director or in an advisory capacity for any person mentioned in this document. BNPP may, from time to time, solicit, perform or have performed investment banking, underwriting or other services (including acting as adviser, manager, underwriter or lender) within the last 12 months for any person referred to in this document. BNPP may be a party to an agreement with any person relating to the production of this document. BNPP may to the extent permitted by law, have acted upon or used the information contained herein or in the document, or the analysis on which it was based, before the document was published. BNPP may receive or intend to seek compensation for investment banking services in the next three months from or in relation to any person mentioned in this document. Any person mentioned in this document may have been provided with relevant sections of this document prior to its publication in order to verify its factual accuracy.

This document was produced by a BNPP group company. This document is for the use of intended recipients and may not be reproduced (in whole or in part) or delivered or transmitted to any other person without the prior written consent of BNPP. By accepting or accessing this document you agree to this.

BNP Paribas is a société anonyme incorporated in France, licensed and supervised as a credit institution by the European Central Bank (ECB) and as an investment services provider by the Autorité de contrôle prudentiel et de résolution (ACPR) and Autorité des marchés financiers (AMF), and having its registered office at 16, boulevard des Italiens, 75009 Paris, France.

Some or all of the information contained in this document may already have been published on <https://globalmarkets.bnpparibas.com>.

For country-specific disclaimers (United States, Canada, United Kingdom, Germany, Belgium, Ireland, Italy, Netherlands, Portugal, Spain, Switzerland, Brazil, Turkey, Israel, Bahrain, South Africa, Australia, China, Hong Kong, India, Indonesia, Japan, Malaysia, Singapore, South Korea, Taiwan, Thailand, Vietnam) please type the following URL to access the applicable legal notices: https://globalmarkets.bnpparibas.com/gm/home/Markets_360_Country_Specific_Notices.pdf

© BNP Paribas (2025). All rights reserved.

Subscribe to our publications:

ECONOMIC RESEARCH



Published by BNP PARIBAS Economic Research

Head office: 16 boulevard des Italiens - 75009 Paris France / Phone : +33 (0) 1.42.98.12.34

Internet: www.group.bnpparibas - www.economic-research.bnpparibas.com

Head of publication : Jean Lemierre

Chief editor: Isabelle Mateos y Lago



BNP PARIBAS

La banque
d'un monde
qui change



EcoFlash

Elections in Hungary: a strong mandate to tackle economic challenges

In Hungary, Péter Magyar's pro-European centre-right party won a landslide victory in the general election held on 12 April. According to the latest official estimates, Tisza is reported to have secured a supermajority, which would give it significant room for manoeuvre to drive through institutional reforms. The new government will nevertheless face several challenges, including the release of European funds essential for revitalising the economy, and the consolidation of public finances. Meanwhile, the partnership with China in the field of electric mobility remains a priority.

A supermajority for Péter Magyar's new government?

In the general election held on 12 April, Péter Magyar, the leader of Tisza – a centre-right, pro-European party– won a landslide victory. According to the latest figures, he is reported to have secured 137 of the 199 seats in Parliament¹. These elections bring to an end the 16-year rule of Viktor Orbán's government², led by Fidesz. The Fidesz-KDNP alliance, which came in second with 56 seats, is followed at a considerable distance by Mi Hazánk, the far-right party, which holds six seats. The record voter turnout of 79.6% (compared to 69.6% in 2022) reflects the high stakes of the election. The new government is expected to take office within a month for a four-year term.

This is the ideal scenario for Péter Magyar's future government. Viktor Orbán conceded defeat on election night, thereby removing any uncertainty regarding the outcome of the vote. Currently, all indications point to Tisza having secured a supermajority in Parliament. If this is confirmed next Saturday, this comfortable majority will mark a decisive turning point for Hungary. A supermajority is, in fact, essential for any constitutional change and gives the future government the necessary leeway to implement economic and institutional reforms. It is worth noting that Hungary currently ranks at the lowest position among Central European countries in terms of governance³.

Significant yet manageable economic challenges

- **Towards a gradual release of European funds.** On the economic front, Tisza's decisive victory and its future commitment to institutional reforms should pave the way, in the coming months, for the release of European funds (EUR19 billion, or around 8.8% of GDP).
- **A tight schedule.** The transfer of European funds, particularly those linked to recovery and resilience (EUR 10.4 billion allocated, 4.8% of GDP), must be completed by 31 December 2026, with all milestones needing to be met by 31 August 2026. To date, 91.3% of the funds earmarked for Hungary are still awaiting transfer and could be permanently forfeited if the reforms are not approved in time. By comparison, other countries in the region have already used up around half of the recovery and resilience funds.
- **A flagging economy in need of a boost.** Péter Magyar's forthcoming government is counting on these resources to revive investment, which has been in sharp decline since 2022, and to support growth. It inherits a faltering economy (following several years of sluggish growth) which must also contend with the repercussions of the conflict in the Middle East. Inflation began to rise again in March (+1.8% y/y compared with 1.4% in February) and is expected to accelerate further in the coming months, although the government's cap on fuel prices and tax cuts should help to contain inflationary pressures.
- **The incoming government has pledged to consolidate public finances.** The release of European funds is expected to provide some relief for public finances. However, public spending is not expected to fall significantly in the short term under Péter Magyar's government. His priorities are healthcare, education and maintaining generous social welfare measures. In 2026, the budget deficit could remain close to 5% of GDP. The public debt-to-GDP ratio (74.6% in 2025) is the highest in Central Europe and is expected to rise further in the short term. This deterioration in public finances could act as a brake on the future government's ambitious economic programme. The government is expected to uphold its commitment to consolidating public finances in the medium term in order to comply with the fiscal rules set for 2030, in line with its election manifesto and with the aim of joining the eurozone. This commitment should help reduce investors' perception of sovereign risk and enable government bond yields (currently among the highest in Central Europe) to fall.

Maintaining the partnership with China

For several years, Hungary has successfully attracted foreign direct investment (inbound FDI: EUR6.8 billion, 3.2% of GDP in 2025), much of which is directed towards the automotive sector. The country is one of the main recipients of Chinese investment in the automotive sector in the region, and it is anticipated that China will continue to be a key partner for Hungary. The national strategy for electric mobility is not expected to change in the medium term. On the contrary, the war in the Middle East is likely to reinforce this strategic positioning. It should be noted that a Chinese BYD factory, focused on electric cars, is expected to become operational in 2026.

Normalisation of relations with the EU

Tisza's victory is likely to facilitate the normalisation of Hungary's relations with the EU and pave the way for the release of the EUR90 billion European loan intended for Ukraine, which Viktor Orbán's government had vetoed.

The dependence on Russian hydrocarbons is set to continue in the short term. Economic ties between Russia and Hungary are expected to remain strong in the short term, particularly in the energy sector. Currently, 80.3% of oil and 77.3% of gas comes from Russia. However, Peter Magyar's election manifesto aims to reduce dependence on Russian energy supplies by 2035. However, the ongoing conflict in the Middle East may prolong this transition.

Cynthia Kalasopatan Antoine

Central Europe Economist

cynthia.kalasopatanantoine@bnpparibas.com

¹ The number of seats required for a supermajority is 133. By way of comparison, in 2022, Fidesz, Viktor Orbán's party, won a supermajority with 135 seats. The final results will be announced on Saturday.

² Election results as of 2:58 pm on 14 April, according to the National Election Office.

³ Transparency International's Corruption Perceptions Index ranks Hungary at the bottom of the table alongside Bulgaria.

EDITORIAL

3

WORLD ECONOMY: HOW TO TAKE STOCK IN THE MIDST OF UNFOLDING CHAOS?

This week, Washington DC will host two gatherings that should be important in their own right, and yet are unlikely to be: one is the Spring Meetings of the International Monetary Fund (IMF) and World Bank (WB), which brings into town thousands of top finance and central banking officials as well as private sector delegates from the financial sector and civil society; the other is the peace negotiations between Israel and Lebanon. The former is traditionally an opportunity to take stock and send a combination of reassuring messages to markets and stern admonitions to policymakers. The latter could have been history-making just for taking place. Yet both are certain to be overshadowed by developments in the Persian Gulf and US-Iran talks. Unable to pin down the near-term outlook, delegates are likely to set their sight, more than usual, on longer-fused developments: inexorably rising public debt burdens, global economic governance in the post US-centric age, AI's economic and geopolitical impacts, and the implications of the rise of private markets and digital finance. Here are five key questions I will seek to get greater clarity on.

HOW RESILIENT WILL THE GLOBAL ECONOMY BE THIS TIME AROUND?

The 2026 Spring Meetings bring a weary sense of *déjà vu*. A year ago, they were haunted by the fallout from "Liberation Day", which turned out to inflict minimal, if any, damage to the global economy, contrary to consensus expectations at the 2025 Spring Meetings. Today, the ghost in the machine is the war in the Gulf—a crisis that has effectively tethered global growth to the whims of belligerents' attacks on energy infrastructure and restrictions on passage through the Strait of Hormuz.

We are witnessing a stagflationary shock that compounds with every day the world is going without the bulk of the 20 million barrels per day of crude oil and petroleum products it was getting from the Gulf prior to the war.

While some are more vulnerable than others, most economies - advanced and emerging alike - entered 2026 with a healthy growth momentum, broadly contained inflation, and manageable external imbalances. These will provide helpful buffers.

However, fiscal positions are generally weak and are likely to worsen. The IMF has already sounded the alarm about this. It will be interesting to see if governments listen.

HOW HAWKISHLY WILL CENTRAL BANKS RESPOND?

While the year started with expectations of multiple rate cuts from the Fed, the Bank of England and many EM central banks, and a long spell of neutral policy from the ECB, central bank rhetoric and market expectations alike have taken a hawkish turn.

Crucially, this is not a repeat of 2022. Central banks are starting from much higher interest rate levels, and do not face the ultra-tight labour markets and broad-based supply-demand imbalances of the post-pandemic era. The sharp increases already seen in fuel prices will slow down demand.

That said, central banks will be keen not to let inflation expectations get out of hand so soon after the last inflation shock. Monetary policymakers will be hard-pressed to explain how they process the incoming data flow to adjust their reaction strategy and balance growth and inflation risks in their respective economies.

HOW WILL THE APPARENT DISCONNECT BETWEEN FINANCIAL MARKETS AND THE REAL ECONOMY GET RESOLVED?

In recent weeks, there has been a striking dissonance between energy experts and economists on the one hand, and financial markets on the other.

The former have tended to stress that the energy price shock caused by the war is set to outlast military hostilities by at least several months, and possibly longer if more damage is inflicted to energy production infrastructure in the Gulf. All economies will face higher inflation and lower growth as a result, with the extent of the shock growing with every passing day without a resolution on the ground.

Meanwhile, stock markets have corrected only to a very modest extent, if at all (the NASDAQ closed up compared to the eve of the war on April 10) and full-year earnings expectations have generally not been revised down, at least for now. By contrast, sovereign bond markets have delivered large increases in long-term bond yields, reflecting less higher inflation expectations than growing fiscal risks. Dollar appreciation has been relatively muted, relative to previous energy price shocks.

Should the outlook for peace and oil markets normalization worsen, risk assets could reprice abruptly. Given the ongoing cracks that have been appearing in private markets since before the onset of the war, it is not hard to think of scenarios where financial markets abruptly take a turn for the worse, and these are certain to feature prominently in conversations throughout the week. What would central banks do then will be another question for attention.

WILL AI SAVE THE DAY AGAIN OR BRING FURTHER DOOM AND GLOOM, AND ARE THERE OTHER CREDIBLE LEVERS OF STRUCTURAL GROWTH?

The accelerated infrastructure buildup and deployment of AI was a key unsung hero of 2025, explaining a large part of the resilience of global trade and GDP growth in the US and many Asian countries that are key nodes in the global AI supply chain.

While most research to date on the impact of AI on either the labour market or productivity is inconclusive, even in the US, there is a raging debate, both in academia and among policymakers, as to the extent to which AI could deliver a structural boost to growth and hence help ameliorate fiscal challenges. There is also a growing focus on who will be the losers from the deployment of AI, and what strategies govern-



BNP PARIBAS

The bank
for a changing
world

ments can and should develop to maximise the gains and minimise the losses from this transformative technology.

In Europe, policymakers have a much broader agenda of structural reforms intended to boost growth in a structural way. Spring Meetings delegates will be keen to probe how far along Europe is in moving forward from agenda to execution.

WHAT WILL BE THE BROADER AND LONGER-TERM IMPLICATIONS OF THIS GULF WAR?

Global delegates to the IMF/WB Meetings are always keen to understand US politics in election years. They will be doubly so this year. The Gulf War and associated gasoline price increases have been deeply unpopular in the US, and the odds have been rising of Republicans losing not just the House but also the Senate in the November mid-term elections. It's too soon to tell, but not to start mapping out the implications of these scenarios.

On the global stage too, this war is likely to be consequential, with US antagonists like China, Russia and others likely to recalibrate their perceptions of the threat represented by the US, and US allies –in the Gulf and in NATO– rethinking the costs and benefits of the said alliance. Of course, the US President has vowed to rethink NATO involvement too.

The upcoming reset starts with geopolitics but is likely to extend to finance as well: will cross-border capital stocks and flows underpinned for decades by hard-wired geopolitical alliances remain as strong if these underpinnings weaken? At issue here is, yet again, the dominant role of the US dollar in the international financial system.

Lastly, many nations are likely to conclude from the war that they must intensify their efforts to diversify their energy sources away from imported oil and gas and accelerate their electrification efforts. This too will have financial and geopolitical implications.

There will be other issues in focus as well: what's next for US trade policy, and how quickly is digital ledger technology-based finance growing. Both important and interesting, but less likely than the others to be game changing over the next six months.

Unusually, the near-term fate of the global economy will be largely out of the hands of the top officials gathered in Washington this week. But by sharing their perspectives, heeding the analysis and advice of the multilateral institutions, and actively preparing for the world after the war, they are more likely to "do no harm", and guide both markets and their respective economies to a soft landing.

Isabelle Mateos y Lago



[Find out more in our scenario and forecasts](#)

ADVANCED ECONOMIES

UNITED STATES

Inflation is on the rise due to increasing energy prices (core inflation remains stable) and is affecting household confidence. CPI inflation reached 3.3% y/y (+0.9pp) in March, with a 21.2% m/m (seasonally adjusted) rise in petrol prices. This monthly change (+0.9% m/m) is the highest since 2022. Core inflation has remained relatively unchanged (+2.6% y/y, +0.1pp), dragged down by used car prices and temporary weakness in non-housing services. Household confidence, as measured by the University of Michigan, hit a record low of 47.6 (-5.7 points) in April due to concerns over inflation, with a 1-point rise in 1-year inflation expectations (4.8%). Orders for durable goods contracted (-1.4% m/m) due to the aerospace component (-28.6% m/m), but the core component rose by 0.8% m/m. Consumer spending improved to +0.5% m/m (+0.2pp), a nominal result that should be viewed in light of the resilience of core PCE inflation over the same period (stable at +0.4% m/m, and down 0.1pp to +3.0% y/y). GDP growth for Q4 2025 has been revised to +0.5% on an annualised basis (-0.9pp) due to private consumption (-0.3pp to +1.3%) and non-residential investment (-1.3pp to +2.4%). The minutes of the latest FOMC meeting (17-18 March) indicate a renewed focus on inflation, with "some participants" noting the possibility of "greater sensitivity of long-term inflation expectations to energy price increases" and, above all, concluding that there are "strong reasons" to shift from a downside risk to the Fed Funds rate to risks in both directions (downside or upside). *Upcoming: Producer prices and NFIB survey (Tuesday), Fed Beige Book (Wednesday), Industrial production (Thursday).*

EUROPEAN UNION

Energy and the budgetary framework: the European Commission (EC) is playing for time. The EC is examining requests from several Member States (Germany, Italy, Spain, Portugal, Austria) to introduce a tax on the windfall profits of energy companies, without considering any action at this stage, while the proposed 'toolkit' (networks, electricity taxation, financial support) is still under development. A working document will be presented by the European Commission ahead of the informal meeting of heads of state on 23 April. The appeal by Italian Prime Minister Meloni to suspend budget rules should the crisis worsen has been rejected by the EC, which considers this option premature. Meanwhile, Brussels is preparing to relax its regulations on methane emissions linked to fossil fuel imports in order to safeguard security of supply.

EUROZONE

Mixed signals. The household savings rate fell to 14.4% in Q4 2025 (the lowest since Q3 2023), while the decline in producer prices accelerated in February (-3% y/y; -1pp m/m) driven by falling energy prices. Retail sales fell slightly (-0.2% m/m), returning to their November levels. *Upcoming: February industrial production (Wednesday), final March inflation (Thursday), February current account (Friday).*

France: Foreign trade remains buoyant. Growth in goods exports continues, building on the momentum seen in the second half of 2025 (+EUR 16 billion y/y) and reaching +EUR 3 bn y/y in January-February 2026, according to Customs figures. This growth is mainly directed towards the EU (including Germany), particularly in the aerospace, defence, pharmaceutical and AI-related equipment sectors. As a result, the current account balance has almost returned to equilibrium, compared with a deficit of EUR 12.5 bn in 2025 (although the deficit is expected to widen in the coming months as oil prices rebound).

The government has announced an 'electrification' plan, comprising measures designed to boost electricity consumption as a substitute for fossil fuels. Dedicated funding will double from EUR 5.5 bn to EUR 10 bn per year (to finance, in particular, the installation of heat pumps and the expansion of social leasing schemes for the purchase of electric vehicles). The "critical metals" fund has announced an investment in a rare-earth refinery in Lacq, aiming to meet 15% of global demand for heavy rare earths by 2027. Moody's has left the sovereign rating and its outlook unchanged (Aa3 with a negative outlook), one notch above S&P and Fitch.

Germany: Generally favourable trends. Car registrations rose by 16% y/y in March (+5% y/y in Q1), driven by a sharp rise in electric vehicle sales (+41% y/y in Q1). They accounted for nearly a quarter of sales in March and, for the first time, exceeded sales of combustion-engine vehicles. New industrial orders rebounded in February (+0.9% m/m) and have risen by over 5% on average in the last six months compared with the previous six months. In February, production fell in construction (-1.2% m/m) and stagnated in industry, with improvements noted across most sectors except electronics and furniture. The trade surplus stood at EUR 19.8 billion in February (+12% y/y), driven by rising exports to the EU, particularly to the Eurozone (+5.2% m/m; +7.0% y/y), while sales to China (-10.8% y/y) and the United States (-13.3% y/y) declined.

JAPAN

Household confidence falls while producer prices rebound. Household confidence fell by nearly 6 points to 33.3 in March, after reaching a high in February not seen since April 2019. The concerns expressed are more about the general economic climate rather than individual financial wealth. In March, producer prices rose by +0.8% m/m (+2.6% y/y), with petroleum products and coal seeing an increase of +7.7% m/m. In February, scheduled contractual wages remained robust at +3.3% y/y (+0.3pp, the highest since 1992). The real wage index stood at +1.9% y/y (+1.2pp), aided by a reduction in inflation over recent months.

UNITED KINGDOM

A slight improvement in construction. The construction PMI rose to 45.6 in March (+1.1 m/m), but has remained in contraction territory for over a year. Energy and raw material prices are rising, and the outlook continues to deteriorate. *Upcoming: February growth, foreign trade and industrial production figures (Thursday).*

EMERGING ECONOMIES

AFRICA & MIDDLE EAST

United Arab Emirates-Bahrain: Signing of a currency swap agreement between the two central banks worth AED20bn (USD5.4bn) for a term of five years. The official purpose of this agreement is to strengthen financial and trade relations between the two countries. However, Bahrain is also one of the Gulf economies most vulnerable to the repercussions of the conflict in Iran. This support from the UAE aims to alleviate potential concerns regarding external liquidity and to reassure the markets.

Gulf governments are turning to private placements for their bonds. The Abu Dhabi government has just raised USD2.5 bn, at a time when bond markets have been closed to sovereign issuers in the region since the start of the conflict. This move follows a similar action by the Qatari government, which raised USD3 bn.



[Find out more in our scenario and forecasts](#)

ASIA

Inflation rose moderately in March. In **South Korea**, inflation stood at just 2.2% y/y, up from 2% in January and February, as the impact of rising prices for imported raw materials was mitigated by administrative price controls; the central bank left its key interest rate unchanged at 2.5%. In **Taiwan**, inflation in March (1.5%) remained virtually unchanged from January-February, also kept in check by administrative price controls. In **Indonesia**, inflation slowed to 3.5% y/y, down from 4.8% in February, largely thanks to energy price subsidies, which mitigated the impact of rising oil prices. In **Thailand**, CPI inflation rebounded but remains in negative territory (-0.1% y/y, compared with -0.8% in January-February). The **Philippines** recorded a much sharper rise in inflation, from 2.4% y/y in February to 4.1% in March. The same was true for **Vietnam**, where CPI inflation rose from 2.9% y/y in February to 4.2% in March.

China: A (welcome) rise in inflation. CPI inflation reached 1% y/y in March, up from 0.8% in January-February, driven mainly by rising energy prices. Vehicle fuel prices rose by 3.4% y/y in March, following 19 consecutive months of decline. Crucially, the producer price index rose by 0.5% y/y in March, ending 41 consecutive months of decline.

India: Key interest rate unchanged. The central bank left its key interest rate unchanged at 5.25% this week. The measures taken the previous week helped to shore up the rupee, which has gained 0.9% against the US dollar since 1st April (and has depreciated by just 1.5% against the US dollar since the end of February).

EMERGING EUROPE

Hungary: Defeat for Viktor Orbán's government after 16 years in power. In the parliamentary elections on 12 April, the opposition party Tisza, (centre-right and pro-European), led by Péter Magyar, won a landslide victory with an absolute majority (138 out of 199 seats in Parliament). Fidesz, Viktor Orbán's party, managed to secure 55 seats. Voter turnout stood at 79.5%, a record high compared to previous elections (69.6% in 2022). Securing an absolute majority will enable the new government to implement institutional reforms. This should pave the way for the release of European funds for Hungary (around EUR 19 billion). Furthermore, the pro-European stance of the future Hungarian government is expected to result in the release of the EUR 90 billion European loan to Ukraine.

Hungary: Inflation accelerated slightly in March (+1.8% y/y vs. 1.4% in February), due to rising prices for fuel, services, as well as alcoholic beverages and tobacco. Food prices remained stable in March. Core inflation fell slightly to +1.9% y/y in March (+2.1% in February).

Poland and Romania: Monetary status quo. As expected, the Polish and Romanian central banks kept their respective key interest rates at 3.75% and 6.5%. They are expected to remain cautious over the coming months in the face of rising inflation.

LATIN AMERICA

First signs of inflationary pressures. March data reveal a rise in inflation, driven mainly by the transport sector, which accounts for nearly 15% of the overall index. In **Brazil**, CPI inflation increased to 4.1% y/y from 3.8% in February, but remains below the average for the final months of 2025 (4.5% y/y in Q4 2025). In **Peru**, the inflation rate reached 3.4% y/y and 2.1% m/m, exacerbated by a gas pipeline failure in early March. In **Chile**, inflation rose from 2.4% y/y in February to 2.8% in March (1% m/m), despite the fuel price control mechanism remaining in place until 24 March. In **Mexico**, despite the price stabilisation mechanism in effect since 2022, inflation increased to 4.6% y/y (up from 4% in February) and 0.9% m/m, driven by the price of fruit and vegetables. In **Colombia**, while the transport component did not rise in March, headline inflation accelerated to 5.6% y/y. Inflation was already high (above 5% y/y) even before the start of the conflict in the Middle East.

COMMODITIES

Restrictions on shipping through the Strait of Hormuz, and repeated disruptions to production capacity are increasing tensions in the oil and oil derivatives markets. The cumulative shortfall in barrels since the start of the conflict is prompting the release of new stocks and driving up the price of physical crude to record levels.

In a sign of sharply rising short-term tensions in the oil market, the spread between the spot price of a barrel of physical oil and the futures price continues to widen, reaching a record high. The spread between the price of a barrel of Dated Brent (for immediate delivery) and Brent for June 2026 (the nearest futures contract) was over USD30 per barrel on 10 April, whereas it had been less than USD3 per barrel prior to the outbreak of the conflict.

Saudi Arabia: Rapid restoration of most production capacity. The latest attacks on the Khurais and Manifa oil fields, as well as on the East-West pipeline (which allows Saudi Arabia to bypass the Strait of Hormuz), have reportedly reduced the kingdom's production capacity by 0.6 million b/d (5% of total production capacity) and transit capacity by 0.7 million b/d, according to a statement by the Saudi Energy Minister on 9 April. However, he confirmed on Sunday that most of the damage had been repaired, with the exception of 0.3 million barrels per day from the Khurais oil field, where repairs are ongoing.

Japan has unilaterally decided to release additional barrels from its public strategic reserves, amounting to 20 days' worth of oil demand (approximately 32 million barrels of oil), onto the market for the month of May. The country has already begun releasing 79.8 million barrels of oil (crude and products), equivalent to around 50 days' worth of demand, as part of the agreement reached by members of the International Energy Agency on 11 March (400 million barrels).

The markets reacted strongly to President Trump's announcement on Sunday regarding the blockade of the Strait of Hormuz. The price of Brent rose by 9% at the markets' opening and is now trading above USD100 per barrel once again. Additionally, the TTF (European spot gas price) rose by 8% and is currently trading at around EUR47 per MWh.



BNP PARIBAS

The bank
for a changing
world

MARKETS OVERVIEW

7

Bond Markets

	In %	In bps			
	10/04/2026	1-Week	1-Month	Year to date	1-Year
Bund 2Y	2.55	-4.8	+32.4	+45.8	+69.9
Bund 5Y	2.71	+1.1	+25.3	+24.7	+62.1
Bund 10Y	3.02	+5.0	+20.0	+15.7	+47.1
OAT 10Y	3.63	+0.7	+21.8	+13.4	+46.3
BTP 10Y	3.83	-0.9	+37.3	+33.5	+21.0
BONO 10Y	3.51	+3.9	+31.2	+26.9	+30.4
Treasuries 2Y	3.81	-3.9	+19.7	+32.5	-4.2
Treasuries 5Y	3.94	-4.1	+20.7	+21.7	-9.5
Treasuries 10Y	4.32	-1.2	+17.8	+15.7	+3.2
Gilt 2Y	4.27	-5.8	+40.5	+51.4	+36.7
Treasuries 5Y	4.37	-2.1	+29.6	+51.7	+28.8
Gilt 10Y	4.84	-3.9	+27.7	+47.6	+17.2

Currencies & Commodities

	Level	Change, %			
	10/04/2026	1-Week	1-Month	Year to date	1-Year
EUR/USD	1.17	+1.5	+0.7	-0.1	+4.9
GBP/USD	1.35	+1.7	+0.1	+0.1	+3.9
USD/JPY	159.12	-0.2	+1.0	+1.5	+10.0
DXY	98.65	-1.6	-0.2	+0.3	-2.2
EUR/GBP	0.87	-0.1	+0.6	-0.2	+1.0
EUR/CHF	0.93	+0.3	+2.5	-0.5	-0.7
EUR/JPY	186.62	+1.4	+1.7	+1.4	+15.4
Oil, Brent (\$/bbl)	95.27	-12.5	+4.5	+56.6	+49.0
Gold (\$/ounce)	4782	+2.4	-8.5	+10.6	+51.4

Equity Indices

	Level	Change, %			
	10/04/2026	1-Week	1-Month	Year to date	1-Year
World					
MSCI World (\$)	4474	+3.7	+0.8	+1.0	+30.7
North America					
S&P500	6817	+3.6	+0.5	-0.4	+29.4
Dow Jones	47917	+3.0	+0.4	-0.3	+21.0
Nasdaq composite	22903	+4.7	+0.9	-1.5	+39.8
Europe					
CAC 40	8260	+3.7	+2.5	+1.4	+15.9
DAX 30	23804	+2.7	-0.7	-2.8	+15.8
EuroStoxx50	5926	+4.1	+1.5	+2.3	+23.0
FTSE100	10601	+1.6	+1.8	+6.7	+34.0
Asia					
MSCI, loc.	1829	+3.2	+2.4	+8.3	+39.3
Nikkei 225	56924	+7.2	+4.9	+13.1	+64.5
Emerging					
MSCI Emerging (\$)	1547	+7.4	+2.9	+10.1	+50.4
China	78	+3.1	-2.2	-5.0	+18.3
India	956	+7.0	-1.5	-9.7	+2.4
Brazil	2116	+7.2	+9.1	+28.6	+71.1

Performance by sector

Eurostoxx600

Year 2026 to 10-4, €

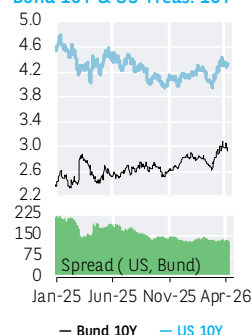
+34.3%	Oil & Gas
+19.7%	Commodities
+19.4%	Telecoms
+17.5%	Utilities
+10.7%	Chemical
+4.8%	Industry
+3.8%	Eurostoxx600
+2.1%	Construction
+2.1%	Banks
+1.2%	Technology
+0.6%	Food industry
+0.6%	Real Estate
-0.7%	Health
-1.5%	Insurance
-2.6%	Financial services
-3.3%	Retail
-6.9%	Travel & leisure
-12.9%	Media
-14.2%	Consumption Goods

S&P500

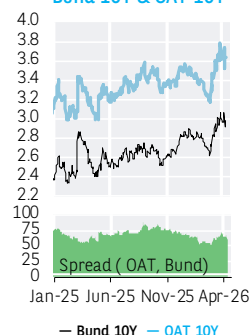
Year 2026 to 10-4, \$

+27.1%	Energy
+15.9%	Capital Goods
+14.4%	Materials
+12.8%	Retail
+10.6%	Semiconductors
+10.0%	Utilities
+6.2%	Food, Beverage & Tobacco
+5.2%	Telecoms
+4.5%	Tech. Hardware & Equip.
+2.3%	Consumer Discretionary
-0.4%	S&P500
-0.8%	Media
-1.6%	Pharmaceuticals
-2.2%	Bank
-4.5%	Consumer Services
-6.2%	Insurance
-10.0%	Healthcare
-13.8%	Commercial & Pro. Services
-20.9%	Automobiles
-24.8%	Real Estate

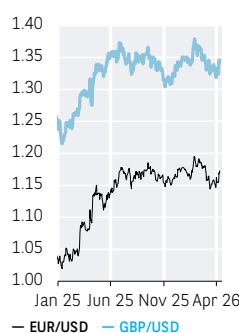
Bund 10Y & US Treas. 10Y



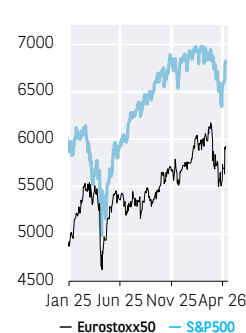
Bund 10Y & OAT 10Y



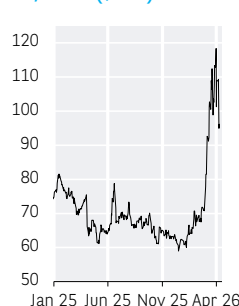
EUR/USD & GBP/USD



EUROSTOXX 50 & S&P500



Oil, Brent (\$/bbl)



Gold (\$/ounce)



MSCI World (\$)



MSCI Emerging (\$)



SOURCE: LSEG, BLOOMBERG, BNP PARIBAS
DATA VISUALISATION AND CARTOGRAPHY: TARIK RHARRAB



BNP PARIBAS

The bank
for a changing
world

IN THE FACE OF AGEING POPULATION, EUROZONE ECONOMIES APPEAR TO BE THE MOST VULNERABLE

Koen De Leus

Most developed countries are ageing rapidly. According to the United Nations population database, the proportion of people aged 65 and over in the group of "more developed countries" is projected to rise from 21.5% in 2026 to 32.3% by 2100. There are however significant differences between countries. In Japan, for example, over 30.5% of the population is already over 65. By the end of the century, this figure is expected to stabilise at around 39%. In countries with a more favourable ageing profile, such as the United States, the share is projected to increase from 19% to 30.5%.

Such increases pose a threat to social security systems. Without any specific reforms, pension and healthcare spending will rise while contributions from the shrinking working-age population will decline.

Which countries are financially most vulnerable to ageing? We analysed this question for 16 developed countries using five ratios in our ageing vulnerability index².

The Anglo-Saxon countries together with the Scandinavian countries Sweden and Denmark perform best in the overall ranking. The most vulnerable countries are all European, with rapidly ageing Spain and Italy ranking lowest.

¹ These include all European countries, North America, Australia and New Zealand, and Japan.

² The five ratios are: net government debt as a percentage of GDP; government revenues as a percentage of GDP; the increase in the dependency ratio (25–65 / 0–25 & 65+) during the period 2026–2050; the current share of public pensions (old-age and survivors' pensions) in total pensions; and the net present value of additional government spending on pensions and healthcare between 2024 and 2050 as a percentage of GDP. The final ranking takes into account the average score on the five different ratios. Source: De Leus, Koen & Gijssels, Philippe (2024), *The New World Economy in Five Trends*, Uitgeverij Lannoo.

IMF AGEING VULNERABILITY INDEX, 2026 UPDATE

Countries based on their vulnerability to aging: green=low orange=moderate red=high	Average Score *****	Net debt (% GDP)*	General government revenues (% GDP)**	Dependency ratio increase (0-25 & 65+/25-65) 2026- 2050 (% points)***	Share public pensions (old age and survivors) /total pension income (%)****	NPV extra pension & health spending 2024-50 (% GDP)*****
Australia	78.75	32.4	36.3	10.4%	49.8%	37.5
Sweden	75	14.2	47.0	2.1%	84.0%	3.6
Canada	73.75	14.1	42.1	9.6%	62.5%	46.1
Denmark	68.75	-4.3	50.0	8.9%	82.3%	27.2
Ireland	67.5	24.4	23.4	18.2%	79.1%	43.8
United Kingdom	65	95.9	40.2	6.5%	71.8%	49
United States	62.5	103.0	30.1	5.4%	55.6%	114.3
Netherlands	56.25	37.3	43.5	12.4%	70.5%	61.8
Japan	45	128.9	37.2	27.0%	77.9%	59.9
Germany	43.75	50.7	48.0	24.1%	94.3%	41.8
Norway	43.75	-168.3	59.7	14.2%	90.2%	72.8
France	40	111.3	51.7	8.9%	98.2%	27.6
Portugal	35	82.6	44.1	37.5%	97.6%	61.6
Belgium	33.75	97.7	49.6	11.8%	91.1%	78
Italy	33.75	128.6	47.1	41.4%	95.3%	34.7
Spain	27.5	84.6	42.6	51.9%	97.9%	82.9

* Net debt: General Government, IMF estimate (WEO database);

** General Government Revenues: IMF estimate (WEO database);

*** Dependency ratio increase (0-25 & 65+/25-65) over 2026-2050: United Nations, World Population Prospects 2024, medium variant;

**** Share public pensions (old age and survivors) in total pension income: OECD Social Expenditures;

***** NPV: IMF fiscal Monitor Oct 2025;

***** Average score.

TABLE

SOURCE: IMF, UNITED NATIONS, OECD, DE LEUS KOEN & GIJSELS PHILIPPE (2024), THE NEW WORLD ECONOMY IN FIVE TRENDS, UITGEVERIJ LANNOO

Assessing vulnerability to ageing

Looking at the different ratios, we observe the following:

- **Net government debt (as a percentage of GDP):** In many countries, government debt is at its highest peacetime level, or close to it. This leaves little room to absorb the additional costs of an ageing population. Japan and Italy top the ranking, at 129% of GDP.

- **Tax revenues (as a percentage of GDP):** Raising tax revenues to finance the rising costs of an ageing population is no longer a viable option in many countries. Several European countries already have government revenues around 50% of GDP, including Denmark (50%), Belgium (50%), France (51.7%) and Norway (59.7%). However, this is not an issue for Norway, as its net government debt is negative (its financial assets, thanks to its massive oil fund, exceed its liabilities). In the Anglo-Saxon countries and Japan, the percentage is around 40% or less. These countries still have some room to increase government revenues.

- **Increase in the dependency ratio:** The more people paying taxes, the more sustainable the social security system. However, the dependency ratio — the proportion of people aged 0-25 and 65+ compared to those aged 25-64 — is set to rise sharply in Europe in the coming decades, particularly in Southern European countries. Spain is the negative out-

lier, with an expected increase of 52% by 2050. In Italy and Portugal, the increase will be 41.4% and 37.5% respectively. The countries faring best are the Anglo-Saxon countries, where ageing is less rapid, and most Scandinavian countries.

- **Share of public pensions in total pensions:** The rising dependency ratio is making it increasingly difficult to finance public pensions through social security contributions. Besides, in countries where the dependency ratio is rising most sharply, public pensions (i.e. old-age and survivors' pensions) account for 90% or more of total pension income. Such high dependence on public pensions makes altering these schemes politically very sensitive. Once again, Anglo-Saxon countries fare better thanks to their well-developed occupational pension systems. In the United Kingdom, this second pillar accounts for 28%; in Canada, the United States and Australia, the figures are 37.5%, 44.4% and 50.2%, respectively. On the European mainland, only the Netherlands (29.5%) has followed this example.

- **Net present value of additional government spending on pensions and healthcare between 2024 and 2050:** The United States stands out here. The net present value of additional social security spending over the period 2024-2050 would double US public debt without reforms. However, many European countries are also facing substantial increases in spending on pensions and healthcare.


BNP PARIBAS

The bank
for a changing
world

Healthcare costs driving future spending

Notably, in three quarters of all countries, the majority of additional social security spending relates to healthcare. These costs are particularly difficult to contain. Since 2000, pension benefits have already been significantly adjusted in most countries. Older generations in Europe receive roughly twice as much in lifetime benefits as they contributed during their working lives. Reforms introduced after the 2008 Global Financial Crisis reduced the ratio of benefits to contributions for younger generations to around 1.5. This addressed roughly half of the problem. However, more recent reforms in many countries have once again pushed the bill higher.

In summary, Southern European countries, as well as Belgium and France, stand out as those where public finances appear most vulnerable to population ageing. The main reasons are: high initial public debt levels, which limit future fiscal manoeuvring room, and an underrepresentation of complementary defined-contribution plan (pension funds, etc.) which means that the system relies heavily on public funds. It should be noted that some countries stand out positively thanks to a low net present value of uncovered social liabilities (pensions, healthcare). However, this criterion can be quite volatile depending on the discount rate used.

Koen De Leus



GROUP ECONOMIC RESEARCH

Isabelle Mateos y Lago Group Chief Economist	+33 1 87 74 01 97	isabelle.mateosylago@bnpparibas.com
Hélène Baudchon Deputy Chief Economist, Head of Global Macroeconomic Research	+33 1 58 16 03 63	helene.baudchon@bnpparibas.com
Stéphane Alby Maghreb, Middle East	+33 1 42 98 02 04	stephane.alby@bnpparibas.com
Lucie Barette Europe, Germany, Italy, Spain	+33 1 87 74 02 08	lucie.barette@bnpparibas.com
Anis Bensaidani United States, Japan	+33 1 87 74 01 51	anis.bensaidani@bnpparibas.com
Céline Choulet Banking Economics	+33 1 43 16 95 54	celine.choulet@bnpparibas.com
Stéphane Colliac Head of Advanced Economies – France	+33 1 42 98 26 77	stephane.colliac@bnpparibas.com
Guillaume Derrien Europe, Eurozone – World Trade	+33 1 55 77 71 89	guillaume.a.derrien@bnpparibas.com
Pascal Devaux Middle East, Western Balkans – Energy	+33 1 43 16 95 51	pascal.devaux@bnpparibas.com
Hélène Drouot Latin America	+33 1 42 98 33 00	helene.drouot@bnpparibas.com
François Faure Head of Country Risk – Türkiye – Argentina	+33 1 42 98 79 82	francois.faure@bnpparibas.com
Salim Hammad Head of Data & Analytics – Brazil	+33 1 42 98 74 26	salim.hammad@bnpparibas.com
Thomas Humblot Banking Economics	+33 1 40 14 30 77	thomas.humblot@bnpparibas.com
Cynthia Kalasopatan Antoine Central Europe, Ukraine	+33 1 53 31 59 32	cynthia.kalasopatanantoine@bnpparibas.com
Johanna Melka Asia	+33 1 58 16 05 84	johanna.melka@bnpparibas.com
Marianne Mueller Europe, United Kingdom, Portugal, Greece	+33 1 40 14 48 11	marianne.mueller@bnpparibas.com
Christine Peltier Head of Emerging economies – Asia	+33 1 42 98 56 27	christine.peltier@bnpparibas.com
Lucas Plé Sub-saharan Africa, Colombia, Central America	+33 1 40 14 50 18	lucas.ple@bnpparibas.com
Jean-Luc Proutat Head of Economic Projections	+33 1 58 16 73 32	jean-luc.proutat@bnpparibas.com
Laurent Quignon Head of Banking Economics	+33 1 42 98 56 54	laurent.quignon@bnpparibas.com
Tarik Rharrab Data scientist	+33 1 43 16 95 56	tarik.rharrab@bnpparibas.com
Mickaëlle Fils Marie-Luce Media contact	+33 1 42 98 48 59	mickaelle.filsmarie-luce@bnpparibas.com



BNP PARIBAS

The bank
for a changing
world

GROUP ECONOMIC RESEARCH

ECOINSIGHT

Structural or thematic topics.

ECOPERSPECTIVES

Analyses and forecasts with a focus on developed and emerging economies.

ECOFASH

Data releases, major economic events.

ECOWEEK

Recent economic and policy developments, data comments, economic calendar, forecasts.

ECOPULSE

Easy-to-read monthly overview of inflation dynamics in the main developed economies.

ECOCHARTS

Monthly barometer of key economic indicators of the main OECD countries.

ECOTV

What is the key event of the month?
You will find the answer in our economy broadcast.

MACROWAVES

Our economic podcast.

HOW TO RECEIVE OUR PUBLICATIONS

SUBSCRIBE ON OUR WEBSITE
see the [Economic Research website](#)

&

FOLLOW US ON LINKEDIN
see the [Economic Research linkedin page](#)

OR TWITTER
see the [Economic Research Twitter page](#)



The information and opinions contained in this document have been obtained from, or are based on, public sources believed to be reliable, but there is no guarantee of the accuracy, completeness or fitness for any particular purpose of such information and such information may not have been independently verified by BNPP or by any person. None of BNPP, any of its subsidiary undertakings or affiliates or its members, directors, officers, agents or employees accepts any responsibility or liability whatsoever or makes any representation or warranty, express or implied, as to the accuracy and completeness of the information or any opinions based thereon and contained in this document and it should not be relied upon as such. This document does not constitute research, as defined under MIFID II, or form any part of any offer to sell or issue and is not a solicitation of any offer to purchase any financial instrument, nor shall it or any part of it nor the fact of its distribution form the basis of, or be relied on, in connection with any contract or investment decision. Information and opinions contained in this document are published for the information of recipients, but are not to be relied upon as authoritative or taken in substitution for the exercise of judgment by any recipient, are subject to change without notice. In providing this document, BNPP does not offer investment, financial, legal, tax or any other type of advice to, nor has any fiduciary duties towards, recipients. Any reference to past performance is not indicative of future performance, which may be better or worse than prior results. Any hypothetical, past performance simulations are the result of estimates made by BNPP, as of a given moment, on the basis of parameters, market conditions, and historical data selected by BNPP, and should not be used as guidance, in any way, of future performance. To the fullest extent permitted by law, no BNPP group company accepts any liability whatsoever (including in negligence) for any direct or consequential loss arising from any use of or reliance on material contained in this document even when advised of the possibility of such losses. All estimates and opinions included in this document are made as of the date of this document. Unless otherwise indicated in this document there is no intention to update this document. BNPP may make a market in, or may, as principal or agent, buy or sell securities of any issuer or person mentioned in this document or derivatives thereon. Prices, yields and other similar information included in this document are included for information purposes however numerous factors will affect market pricing at any particular time, such information may be subject to rapid change and there is no certainty that transactions could be executed at any specified price. BNPP may have a financial interest in any issuer or person mentioned in this document, including a long or short position in their securities and/or options, futures or other derivative instruments based thereon, or vice versa. BNPP, including its officers and employees may serve or have served as an officer, director or in an advisory capacity for any person mentioned in this document. BNPP may, from time to time, solicit, perform or have performed investment banking, underwriting or other services (including acting as adviser, manager, underwriter or lender) within the last 12 months for any person referred to in this document. BNPP may be a party to an agreement with any person relating to the production of this document. BNPP may to the extent permitted by law, have acted upon or used the information contained herein or in the document, or the analysis on which it was based, before the document was published. BNPP may receive or intend to seek compensation for investment banking services in the next three months from or in relation to any person mentioned in this document. Any person mentioned in this document may have been provided with relevant sections of this document prior to its publication in order to verify its factual accuracy.

This document was produced by a BNPP group company. This document is for the use of intended recipients and may not be reproduced (in whole or in part) or delivered or transmitted to any other person without the prior written consent of BNPP. By accepting or accessing this document you agree to this.

BNP Paribas is a société anonyme incorporated in France, licensed and supervised as a credit institution by the European Central Bank (ECB) and as an investment services provider by the Autorité de contrôle prudentiel et de résolution (ACPR) and Autorité des marchés financiers (AMF), and having its registered office at 16, boulevard des Italiens, 75009 Paris, France.

Some or all of the information contained in this document may already have been published on

For country-specific disclaimers (United States, Canada, United Kingdom, Germany, Belgium, Ireland, Italy, Netherlands, Portugal, Spain, Switzerland, Brazil, Turkey, Israel, Bahrain, South Africa, Australia, China, Hong Kong, India, Indonesia, Japan, Malaysia, Singapore, South Korea, Taiwan, Thailand, Vietnam) please type the following URL to access the applicable legal notices:

© BNP Paribas (2025). All rights reserved.

Subscribe to our publications:

ECONOMIC RESEARCH



Published by BNP PARIBAS Economic Research

Head office: 16 boulevard des Italiens - 75009 Paris France / Phone : +33 (0) 1.42.98.12.34

Internet: www.group.bnpparibas - www.economic-research.bnpparibas.com

Head of publication : Jean Lemierre / Chief editor: Isabelle Mateos y Lago



BNP PARIBAS

The bank
for a changing
world

DEMAND SHOULD CONTRIBUTE LESS TO INFLATION IN 2026 THAN IN 2022 IN THE EUROZONE AND THE UNITED STATES

Stéphane Colliac

Will a different situation lead to different outcomes? In other words, will the combination of weaker demand and more moderate supply constraints in 2026, as compared to 2022, help to limit the rise in inflation? Having illustrated the impact of the energy shock caused by the war in the Middle East on six key variables in the Eurozone ([see here](#)), we now move on to a new comparison between these two dates, this time focusing on the relative levels of supply and demand issues. In the Eurozone, weaker demand has resulted in a more pronounced decline in inflation, unlike in the United States, where both demand and inflation have remained more sustained. In both regions, business climate surveys have recently shown a deterioration in some supply-side indicators (input prices), while demand indicators have not weakened yet. This asymmetry is likely to push inflation upwards in the coming months, albeit to a lesser extent than in 2022.

In the Eurozone, demand constraints are limiting the production, but supply constraints remain significant

PERCENTAGE OF BUSINESSES FACING DEMAND OR SUPPLY FACTORS
LIMITING THEIR PRODUCTION

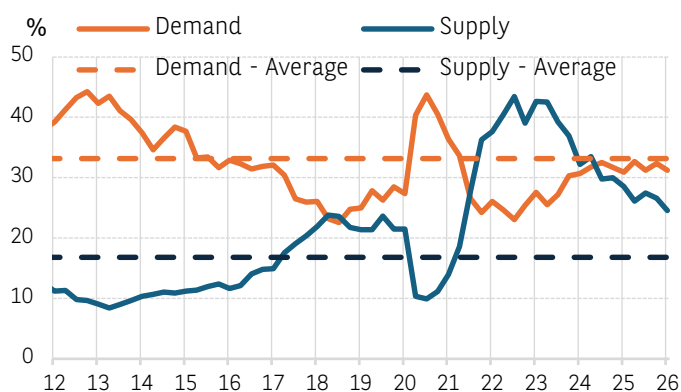


CHART 1

SOURCE: DG ECFIN, BNP PARIBAS

In the US, demand is contributing a bit more to inflation

DEMAND AND SUPPLY CONTRIBUTIONS TO PCE INFLATION

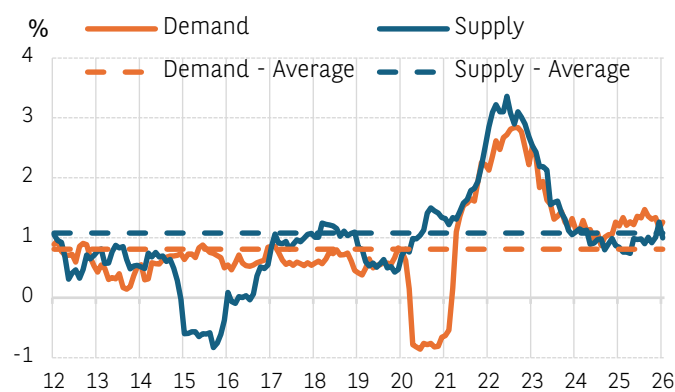


CHART 2

SOURCE: BEA, BNP PARIBAS

In the Eurozone, demand is exerting a downward pressure on inflation, unlike in 2022. The European Commission's survey shows to which extent supply constraints (such as shortages of inputs or labour, which drive inflation upwards) or demand constraints (which limit inflation) are affecting business output. The increase in supply constraints and the decrease in demand constraints, typical of the post-Covid period, were two factors that contributed to the acceleration of inflation at the time (10.6% y/y at its peak in October 2022). The level of these constraints in January 2026 allows for cautious optimism (*see Chart 1*). The lack of demand has exerted a greater influence than supply since mid-2024, while supply-side constraints have continued to ease. This trend has allowed inflation to return to the ECB's 2% target. However, it has not fallen below this target, as supply constraints, despite their reduction, remain significantly higher than the historical average. Furthermore, while harmonised inflation rose by 0.6 percentage points to 2.5% year-on-year in March (at this stage, only due to the rise in fuel prices), the conflict in Iran could well trigger a resurgence of these constraints, as indicated by the rise in input price indices in business climate surveys. These same surveys do not currently indicate that these pressures are being passed on to selling prices by the end of Q2, but this may occur in the longer term, which would then suggest a rebound in core inflation.

In the United States, demand plays a more significant role in inflation, but less so than in 2022. In the absence of a survey similar to that conducted by the European Commission, we use a different method to compare the impact of supply and demand (*see Chart 2*): we examine the direct contributions of supply and demand to inflation dynamics based on a breakdown between these two factors, as provided by the Bureau of Economic Analysis ([using a methodology developed by A. Shapiro from the San Francisco Fed](#)). Although significantly lower than in 2022, the contribution of supply to inflation is not negligible and plays roughly the same role as in 2018–19. These constraints even appear to have increased slightly since the Trump administration's tariff hikes and are likely to rise further with the recent rebound in input prices and delivery times. The contribution of demand to inflation continues to be more substantial, reflecting the resilience of consumption (and its post-Covid outperformance; [see our analysis](#)). However, this momentum has been moderating in recent months, against a backdrop of a deteriorating labour market.

ECONOMIC RESEARCH



BNP PARIBAS

The bank
for a changing
world

Inflation is expected to rise due to increased supply constraints, before easing. In both regions, the war in Iran is likely to trigger a resurgence in supply constraints, although probably less than in 2022. Nevertheless, these constraints are expected to push inflation higher, while the negative effects of the conflict on demand would take longer to materialise, as would their disinflationary effects.

Stéphane Colliac

stephane.colliac@bnpparibas.com



BNP PARIBAS

La banque
d'un monde
qui change

GROUP ECONOMIC RESEARCH

ECOINSIGHT

Structural or thematic topics

ECOPERSPECTIVES

Analyses and forecasts with a focus on developed and emerging economies.

ECOFASH

Data releases, major economic events

ECOWEEK

Recent economic and policy developments, data comments, economic calendar, forecasts

ECOPULSE

Easy-to-read monthly overview of inflation dynamics

ECOCHARTS

Monthly barometer of key economic indicators of the main OECD countries.

ECOTV

What is the key event of the month?
You will find the answer in our economy broadcast.

MACROWAVES

Our economic podcast

HOW TO RECEIVE OUR PUBLICATIONS

SUBSCRIBE ON OUR WEBSITE
see the **Economic Research website**

&

FOLLOW US ON LINKEDIN
see the Economic Research linkedin page

OR TWITTER
see the Economic Research Twitter page



The information and opinions contained in this document have been obtained from, or are based on, public sources believed to be reliable, but there is no guarantee of the accuracy, completeness or fitness for any particular purpose of such information and such information may not have been independently verified by BNPP or by any person. None of BNPP, any of its subsidiary undertakings or affiliates or its members, directors, officers, agents or employees accepts any responsibility or liability whatsoever or makes any representation or warranty, express or implied, as to the accuracy and completeness of the information or any opinions based thereon and contained in this document and it should not be relied upon as such. This document does not constitute research, as defined under MIFID II, or form any part of any offer to sell or issue and is not a solicitation of any offer to purchase any financial instrument, nor shall it or any part of it nor the fact of its distribution form the basis of, or be relied on, in connection with any contract or investment decision. Information and opinions contained in this document are published for the information of recipients, but are not to be relied upon as authoritative or taken in substitution for the exercise of judgment by any recipient, are subject to change without notice. In providing this document, BNPP does not offer investment, financial, legal, tax or any other type of advice to, nor has any fiduciary duties towards, recipients. Any reference to past performance is not indicative of future performance, which may be better or worse than prior results. Any hypothetical, past performance simulations are the result of estimates made by BNPP, as of a given moment, on the basis of parameters, market conditions, and historical data selected by BNPP, and should not be used as guidance, in any way, of future performance. To the fullest extent permitted by law, no BNPP group company accepts any liability whatsoever (including in negligence) for any direct or consequential loss arising from any use of or reliance on material contained in this document even when advised of the possibility of such losses. All estimates and opinions included in this document are made as of the date of this document. Unless otherwise indicated in this document there is no intention to update this document. BNPP may make a market in, or may, as principal or agent, buy or sell securities of any issuer or person mentioned in this document or derivatives thereon. Prices, yields and other similar information included in this document are included for information purposes however numerous factors will affect market pricing at any particular time, such information may be subject to rapid change and there is no certainty that transactions could be executed at any specified price. BNPP may have a financial interest in any issuer or person mentioned in this document, including a long or short position in their securities and/or options, futures or other derivative instruments based thereon, or vice versa. BNPP, including its officers and employees may serve or have served as an officer, director or in an advisory capacity for any person mentioned in this document. BNPP may, from time to time, solicit, perform or have performed investment banking, underwriting or other services (including acting as adviser, manager, underwriter or lender) within the last 12 months for any person referred to in this document. BNPP may be a party to an agreement with any person relating to the production of this document. BNPP may to the extent permitted by law, have acted upon or used the information contained herein or in the document, or the analysis on which it was based, before the document was published. BNPP may receive or intend to seek compensation for investment banking services in the next three months from or in relation to any person mentioned in this document. Any person mentioned in this document may have been provided with relevant sections of this document prior to its publication in order to verify its factual accuracy.

This document was produced by a BNPP group company. This document is for the use of intended recipients and may not be reproduced (in whole or in part) or delivered or transmitted to any other person without the prior written consent of BNPP. By accepting or accessing this document you agree to this.

BNP Paribas is a société anonyme incorporated in France, licensed and supervised as a credit institution by the European Central Bank (ECB) and as an investment services provider by the Autorité de contrôle prudentiel et de résolution (ACPR) and Autorité des marchés financiers (AMF), and having its registered office at 16, boulevard des Italiens, 75009 Paris, France.

Some or all of the information contained in this document may already have been published on <https://globalmarkets.bnpparibas.com>.

For country-specific disclaimers (United States, Canada, United Kingdom, Germany, Belgium, Ireland, Italy, Netherlands, Portugal, Spain, Switzerland, Brazil, Turkey, Israel, Bahrain, South Africa, Australia, China, Hong Kong, India, Indonesia, Japan, Malaysia, Singapore, South Korea, Taiwan, Thailand, Vietnam) please type the following URL to access the applicable legal notices: https://globalmarkets.bnpparibas.com/gm/home/Markets_360_Country_Specific_Notices.pdf

© BNP Paribas (2025). All rights reserved.

Subscribe to our publications:

ECONOMIC RESEARCH



Published by BNP PARIBAS Economic Research

Head office: 16 boulevard des Italiens - 75009 Paris France / Phone : +33 (0) 1.42.98.12.34

Internet: www.group.bnpparibas - www.economic-research.bnpparibas.com

Head of publication : Jean Lemierre

Chief editor: Isabelle Mateos y Lago



BNP PARIBAS

La banque
d'un monde
qui change

EDITORIAL

3

REFINED PETROLEUM PRODUCTS: SHOULD WE BE WORRIED ABOUT SHORTAGES IN EUROPE?

The war in the Middle East has caused significant disruptions in the market for refined petroleum products, affecting not only Asia but also Europe. For the time being, the situation in Europe remains under control, largely thanks to stock levels that provide visibility for around one month. Nevertheless, Europe's dual reliance on suppliers in the Gulf and Asia calls for caution. Supply status in the European market will be influenced by geopolitical developments in the Gulf and whether Asian producers choose to prioritise supplying their domestic markets.

MARKET UPEAVALS HAVE RESULTED IN SHARP PRICE RISES

More than a month after the outbreak of the conflict in the Middle East, the repercussions for the hydrocarbons market are profound: an almost complete halt to flows through the Strait of Hormuz (accounting for around 10% of global crude oil consumption and around 5% of refined products); damage to production capacity in certain Gulf countries (17% of Qatar's LNG production capacity, which supplies around 20% of the global market, and 43% of the Gulf's refining capacity have been damaged to varying degrees); and a sharp rise in prices for all products, whether crude or refined.

While disruptions have so far mainly affected supply flows, the end of the delivery period for shipments from the Gulf region that left before the outbreak of the conflict means that the risk of physical shortages of certain products is growing. This is particularly true for motor fuels among refined products, where price rises are much steeper than those for crude oil. Wholesale gasoline prices have risen across all markets, but the most significant increases have been in diesel and jet fuel, whose supply chains are much more constrained by the ongoing disruptions. Wholesale diesel prices have doubled in Europe and tripled in Asia, while jet fuel prices have doubled in Europe and increased by a factor of 2.5 in Asia. In the United States, the increase has so far been relatively contained, with wholesale prices for these fuels rising by around 50%.

Regardless of the conflict's trajectory, this precarious situation in the markets is likely to worsen in the coming weeks. Indeed, even in a very optimistic scenario of a swift resolution to the conflict, it is understood that a return to the normal functioning of the hydrocarbon market will

be a gradual process, taking several weeks or even several months. In this context, one might wonder about the possibility of a physical disruption to the supply of these refined products in Europe.

EUROPEAN STOCK LEVELS OFFER ONLY A TEMPORARY SOLUTION IN THE EVENT OF A PROLONGED DISRUPTION TO SUPPLY FLOWS

An initial indication can be found in the stock level available in Europe. For all OECD member countries in Europe, diesel stocks are equivalent to 71 days' consumption, while jet fuel stocks account for 50 days. However, the diesel stocks in Spain and Portugal only cover around one month's consumption. The United Kingdom, in particular, raises concerns, as it has some of the lowest diesel and jet fuel stock levels in Europe (20 and 31 days respectively).

THE GROWING DEPENDENCE ON ASIA IS INCREASING EUROPE'S VULNERABILITY

The second factor in the equation is Europe's dependence on imports of refined products. The evidence is unequivocal: over the past twenty years, there has been a massive shift in refining capacity from Europe to Asia, and to a lesser extent, to the Middle East. Since 2000, European refining capacity has fallen from 22% to 14% of the global total, while in Asia, it has risen from 26% to 36% over the same period. In volume terms, these capacities have fallen by 17% in Europe and risen by 74% in Asia. This trend is largely due to more favourable refining margins in Asia. Given an average 1% increase in European consumption of these products over the same period, Europe's dependence on imports of refined products has grown.

REFINED PRODUCTS INVENTORIES IN DAYS OF CONSUMPTION

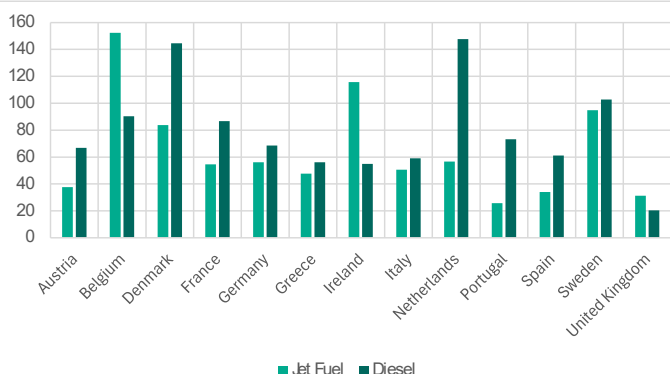


CHART 1

SOURCE: JODI, BNP PARIBAS

REFINING CAPACITY (VOLUME, INDEX 100=2000)

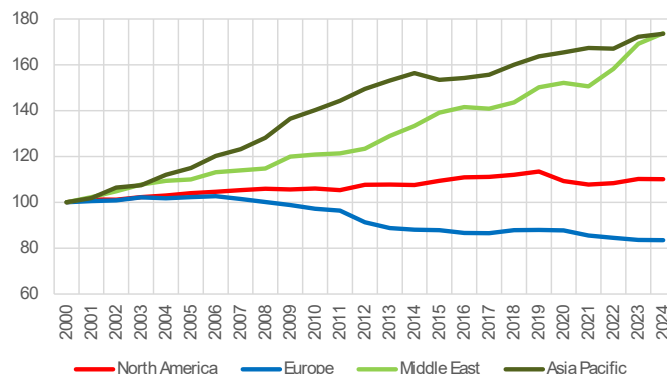


CHART 2

SOURCE: ENERGY INSTITUTE, BNP PARIBAS



BNP PARIBAS

The bank
for a changing
world

In terms of jet fuel, European dependence is low (4%), whereas it is much higher for diesel (35%). However, similar to the available stocks indicator, this situation varies greatly from country to country. For jet fuel, dependence is high (over 50%) in Denmark, France, Italy and Sweden. As for diesel, France's dependence is quite significant (38%), and higher than in most other countries. Nevertheless, it is the United Kingdom that stands out here, with a dependence of 76% for jet fuel and 34% for diesel. To make matters worse, Kuwait supplies 38% (in 2024) of the jet fuel imported by the UK, while Asia and the Middle East collectively account for 81% of these imports.

Beyond this overall dependency indicator, it is important to consider Europe's dependency on Asia as a whole, rather than solely focussing on the Gulf region, in order to better assess its vulnerability. In 2025, Asia and the Middle East supplied 23% of European diesel imports and 90% of jet fuel imports. Given that Asian refineries are heavily dependent on crude oil from the Middle East (over 60% of their imports are sourced from the Middle East) and the sustained growth in the consumption of refined products (an average of +2.5% per year since 2000), tensions in the Asian refined products market are intensifying.

In this context, European imports from Asia are highly vulnerable. Due to the limited availability of Gulf crude oil, some Asian refineries are having to reduce their production rates, and some countries are prioritising domestic consumption over exports. For instance, China virtually halted its fuel exports a few days after the conflict began. Compounding Europe's vulnerability, the price disparities between Asia and Europe are encouraging shipments from other producing regions to prioritise the Asian market.

NO PHYSICAL CONSTRAINTS AT THIS STAGE, BUT VISIBILITY IS GRADUALLY DIMINISHING

Currently, it is very difficult to determine when physical supply issues for diesel and jet fuel will arise in Europe. Disruptions in the refined products market and their impact on the wider economy begin with sharp price rises, which trigger varying degrees of demand adjustments that gradually permeate different segments of this demand based on their level of elasticity. Furthermore, we are seeing instances of demand destruction, driven by political decisions (such as the rationing measures currently in place in some Asian countries) or the temporary suspension of certain activities (a decision already taken by airlines in Asia, which have announced the temporary suspension of their least profitable air routes under current conditions). Finally, the lack of available product is physically constraining demand.

In Europe, we are still at the stage where prices impact demand and government interventions aim to bolster purchasing power. Inflation in the eurozone rose significantly in March (+2.5% y/y compared with +1.9% in February) due to rising energy prices. For the time being, this increase is lower than that recorded during the 2022 energy crisis, and the rebound in core inflation is not expected to occur until the second half of the year. Nevertheless, the fuel market will continue to tighten in the coming weeks, with some experts in the European aviation sector expressing concerns over a lack of visibility regarding fuel availability beyond a 5 to 6-week timeline. However, the rapid deterioration of the situation in Asia could bring this timeline forward.

WHAT ARE THE PROSPECTS?

In the short term, European governments will have to strike a delicate balance in their crisis management: they need to act to anticipate shortages, but without triggering panic among consumers, as this would only exacerbate the situation. Two key elements appear crucial to us in this approach: the ability to prioritise needs and the promotion of European solidarity. We have indeed observed significant disparities in levels of vulnerability.

In the medium to long term, it will certainly be necessary to learn lessons from this crisis, and three possible avenues (among others) seem viable. As is often the case when it comes to increasing European energy sovereignty, progress will occur gradually and over an extended period.

Actions regarding stockpiles may play a positive role, but will only marginally reduce Europe's vulnerability. If we apply the European standards for energy security – namely, covering 61 days' consumption through available stocks or 90 days' net imports – these standards are met for diesel (except in the United Kingdom) and there is some leeway for jet fuels in a number of European countries.

Only a highly proactive industrial policy, which prioritises economic security (albeit at the expense of decarbonisation efforts) and includes government support, will enable the return of significant production capacity to Europe. Refining is an energy-intensive activity, and the Middle East and Asia enjoy significant comparative advantages, whether due to access to abundant and cheap energy or government policies that favour low-cost energy for industry. For more than twenty years, a comparison of refining margins has consistently shown that Europe is at a disadvantage compared to Asia or the United States.

The geographical diversification of supply sources (excluding the Middle East and Asia) is rather limited in the short term. Apart from Russia, only the United States has significant production capacity (18% of global capacity in 2024).

Europe's susceptibility to the vagaries of the refined products market underscores the urgency of pursuing and expediting the low-carbon transition at European level. The electrification of end-use sectors, particularly in transport, appears to be an obvious means of reducing dependence on road fuels, even though this dependence will continue to be considerable in the medium term. Regulatory uncertainties may have slowed this progress towards the electrification of transport, but recent developments seem promising. Furthermore, as we demonstrated in a previous article¹, progress in the low-carbon transition does not necessarily translate into increased energy sovereignty.

With regard to aviation fuel, the development of production capacity for sustainable aviation fuels (SAF) is a crucial means of enhancing energy sovereignty, as it relies on local resources (notably biofuels or renewable energy for synthetic fuels). Nevertheless, this is only a viable solution in the long term. Currently, these types of fuel are still very expensive, the technical challenges are significant, and prices are still tied to those of petroleum products.

Pascal Devaux

(With the help of Clara Ngo Ba Do, intern.)

¹ [European Union: low-carbon transition and energy sovereignty, a path fraught with obstacles](#)



[Find out more in our scenario and forecasts](#)

INTERNATIONAL TRADE

New tariffs for the pharmaceutical sector and reduced tariffs for steel and aluminium. President Trump has announced a 100% tariff on 'patented pharmaceuticals and associated pharmaceutical ingredients' under Section 232 of the Trade Expansion Act. These duties will be reduced to 15% for the EU, Japan, South Korea and Switzerland under agreements concluded in 2025. Companies that have negotiated an agreement with the Department of Health will not be taxed; however, those planning to relocate their production to the United States will be taxed at 20% for four years (after which the rate will revert to 100%). Tariffs on steel and aluminium, typically set at 50%, may be reduced depending on the product's intended use (e.g. 15% for industrial equipment until 2027), its composition (25% customs duty applies if the product contains over 15% steel/aluminium/copper, 0% if it contains less), the origin of the metal (10% if US-sourced) or the product itself (25% for imports from the UK). The moratorium on e-commerce has expired, as the WTO Ministerial Conference failed to reach an agreement on its extension.

ADVANCED ECONOMIES

UNITED STATES

Strong employment performance, but the energy shock is beginning to take its toll. In March, payroll employment rose by 178k (a figure not seen since late 2024, averaging 68k in Q1), and the unemployment rate fell to 4.3%. The ISM manufacturing index has held steady for three months at an average of 52.6 (52.7 in March, +0.3 m/m). The non-manufacturing index remained high at 54, but has deteriorated (down 2.1 m/m) under pressure from the 'business activity' and 'employment' components. In both surveys, supplier delivery times were lengthening (up 3.8 and 2.7 m/m to 58.9 and 56.0 respectively), and the input price index has reached its highest levels since 2022 (78.5 and 70). Consumer confidence (Conference Board) improved to 91.8 (+0.8 m/m), but 1-year inflation expectations rose (+6.2%, +0.7pp). Retail sales rebounded (+0.6% m/m) due to tax refunds, but this momentum should be viewed in context (+3.7% y/y in nominal terms, with inflation at +2.4% y/y). Fed Chair Powell confirmed that the current monetary policy stance is appropriate and reiterated that the rise in inflation risks is coupled with ongoing employment risks. The Fed futures market indicates a 15% likelihood of a rate hike before the end of 2026 (compared with 70% in the week of 23 March). *Upcoming: Q4 2025 GDP (Friday), CPI inflation (Friday), durable goods orders (Tuesday), FOMC minutes (Wednesday), consumer confidence (Michigan, Friday).*

EUROZONE

Inflation driven up by energy in March, otherwise down. Harmonised inflation rebounded to 2.5% y/y in March (1.9% in February) and reached 1.2% m/m (including +6.8% m/m for energy). Other components slowed: food at 2.1% y/y (-0.1pp), services at 3.2% y/y (-0.2pp) and goods at 0.5% y/y (-0.2pp). The composite PMI (-1.2 m/m to 50.7) was dragged down by the deterioration in services (50.2; -1.7), while the manufacturing PMI rose (+0.8 m/m to 51.6). *Upcoming: retail sales and producer prices (Wednesday).*

- France: Rising fuel prices are impacting inflation and public finances while accelerating the transition to low-carbon energy. Harmonised inflation reached 1.9% y/y in March (1.1% in February) due to rising fuel prices. Manufacturing output was stable in February (+0.2 m/m in January). The composite PMI fell to 48.8 in March (-1.1 m/m), weighed down by services (48.8; -0.8 m/m). The manufacturing PMI remained stable. The government estimates that the rise

in interest rates is likely to cost public finances EUR 3.6 billion (0.1% of GDP) in 2026 (due to higher rates on short-term debt, particularly social security debt, and the impact of rising inflation on index-linked bonds). The rise in fuel prices contributed EUR 270 million to public finances in March (EUR 120 million from higher VAT receipts, EUR 150 million from increased purchases, with a likely knock-on effect in April). In 2022, the consumption of petroleum products decreased by 7.5% in volume (reaching its lowest level by the end of 2023), but the decline was minimal in the first few months. The share of electric vehicles rose to 28% of car registrations in Q1 (vs. 20% in 2025), aiding the recovery in registrations in March (+13% y/y, but -2% y/y in Q1). The government has launched tenders to add renewable energy generation capacity, aiming to reach the equivalent of 10 EPR2 reactors in offshore wind by 2035. The government has also announced a new loan scheme for businesses in the transport, agriculture and fisheries sectors, where fuel costs exceed 5% of turnover. *Upcoming: foreign trade (Wednesday).*

- Germany: Energy-driven inflation. Harmonised inflation reached a high not seen since January 2025 in March, at +2.8% y/y, driven by energy prices (+7.2% y/y). Core inflation remained stable at 2.5%. The manufacturing PMI reached 52.2 (+1.2 m/m) in March, bolstered by production, new orders and delivery times, which were at their highest since July 2022. The input price index rose sharply, although it remained lower than in 2022. The services PMI (50.9; -2.6 m/m) negatively impacted the composite PMI (-1.3 m/m to 51.9). The unemployment rate remained stable at 4% in March. *Upcoming: industrial orders (Wednesday), foreign trade and industrial production, new car registrations (Thursday), inflation (Friday).*

- Italy: Harmonised inflation remains stable at 1.5% y/y (+1.6% m/m). The slowdown in core inflation (1.9% y/y, -0.8pp, a knock-on effect of the Olympics) offsets the rebound in energy prices. The European Commission's Economic Sentiment Indicator (ESI) fell by 1.3 points m/m but remained above its historical average. Household confidence declined (-5 points m/m). The manufacturing PMI rose to 51.3 (+0.7 m/m), bolstered by inventories. The decline in the services PMI (-3.5 m/m to 48.8) negatively impacted the composite index (-2.9 m/m to 49.2). The unemployment rate remains low (5.3% in February; -0.9 pp y/y). *Upcoming: industrial production (Friday).*

JAPAN

Businesses are optimistic. The Tankan business sentiment index has reached its highest level since 1991, now standing at 18 (+1 point). This improvement is widespread (+4 points y/y for large manufacturing firms). However, industrial production and retail sales fell by -2.1% and -2% m/m respectively in February, following increases of +4.3% and +3% m/m in January. *Upcoming: wages (Tuesday), consumer confidence (Thursday).*

UNITED KINGDOM

Inflation expectations rebound. Businesses raised their one-year inflation expectations by 0.5 percentage points to 3.5% (according to the BoE). PMI figures fell in March to 51 (-0.7 m/m) for manufacturing, 50.3 for the composite index and 50.5 for services (-3.4 m/m for both). Growth was confirmed at +0.1% q/q in Q4 (1.4% in 2025), bolstered by both private and public consumption as well as public investment.



[Find out more in our scenario and forecasts](#)

EMERGING ECONOMIES

AFRICA & MIDDLE EAST

Sharp fall in PMI indices in the Gulf region in March. In the United Arab Emirates, the index remains in expansionary territory (at 52.9, down from 55 in February) but has reached its lowest level since June 2021. This is also the third-largest monthly fall, which highlights the difficulties faced by the non-oil private sector in the face of the conflict. Confidence is at its lowest level since early 2021. **The impact is even more pronounced in Saudi Arabia**, where the PMI fell to 48.8 in March from 56.1 in February. This is the first time since August 2020 that it has fallen below the 50 mark.

Qatar: The Central Bank is supporting the banking system. In particular, the reserve requirement ratio on deposits has been reduced from 4.5% to 3.5%, allowing banks to offer their customers the option to defer payments for a period of three months.

ASIA

March PMIs signal the impact of the war in the Middle East on prices and activity. In the vast majority of Asian countries, manufacturing PMIs fell in March but remained in expansionary territory. The decline in the 'new orders' and 'production' sub-components is explained by supply constraints and a downturn in demand prospects. The input prices sub-index rose on average from 56.9 in February to 61.4 in March. The decline in manufacturing PMIs was most pronounced in India (PMI at 53.8), the Philippines (51.3), Taiwan (53.3) and Vietnam (51.2), as they are particularly vulnerable to the impact of the blockage of the Strait of Hormuz on their fuel supplies. At the same time, demand for AI-related goods remains very strong and is bolstering industrial activity, particularly in South Korea (PMI up to 52.6 in March). In China, RatingDog's manufacturing PMI fell but remained above 50, while the official PMI rose slightly to 50.4; the sub-indices for input and output prices recorded the strongest increases.

South Korea: The government has announced economic support measures amounting to nearly 1% of GDP. These measures are primarily aimed at easing the financial burden on households and small businesses that are vulnerable to rising energy prices, by capping fuel prices and building up naphtha reserves. Total public expenditure is expected to rise by nearly 12% in 2026 (8% in the initial budget). The public deficit forecast remains unchanged (less than 2% of GDP): the additional expenditure will be financed by the tax revenue surplus, largely linked to corporation tax from the export sector (in Q1, exports rose by 37% year-on-year in value terms).

India: The central bank is supporting the rupee. Having banned banks from holding net open daily foreign exchange positions exceeding US-D100m at the end of last week, the RBI is now prohibiting them from offering non-deliverable forward (NDF) contracts in rupees. This action aims to mitigate the volatility of its currency (-4% against the USD in March).

EMERGING EUROPE

PMI indices are sending mixed signals. The impact of the conflict in the Middle East is barely noticeable. In Poland and Romania, the manufacturing PMI remains in contraction territory but improved slightly in March (Poland: 48.7; Romania: 46.6). In the Czech Republic and Hungary, PMI indices remain above 50. They rose in the Czech Republic but fell in Hungary. New orders are declining across the region (excluding the Czech Republic).

Currencies tended to appreciate last week. In the region, the Hungarian forint appreciated the most against the euro and the dollar. However, it continues to be the worst-performing currency since the beginning of the war, depreciating by 2.1% against the euro and 4.3% against the dollar.

In Romania, the leu remained stable against the euro. According to Bloomberg, the Central Bank intervened in the foreign exchange market with around EUR 1 billion to support its currency.

Poland: Inflation accelerated in March (+3% y/y, compared with 2.1% in February), mainly due to rising fuel prices. By contrast, food inflation slowed over the same period (+2% y/y vs. 2.4% in February).

Türkiye: Sharp month-on-month disinflation in March (+1.9% after +3% in February and +2.5% a year earlier in March 2025). The 'transport' category recorded the sharpest rise (+4.5% month-on-month), driven by rising fuel prices despite a tax reduction implemented on 5 March. Inflation in housing services was limited to 1.9% month-on-month. Year-on-year, the headline inflation rate stands at 30.9% and core inflation at 29.7%.

LATIN AMERICA

In March, PMIs remained in contraction territory in Brazil, Colombia and Mexico. New orders rose slightly in Colombia, while they continued to deteriorate in Brazil and Mexico, reflecting strains on demand and inflationary pressures linked to rising energy prices.

Colombia: Key interest rate raised by 100 basis points to 11.75%. This decision by the Central Bank was expected given the highly inflationary environment. Inflation reached 5.3% year-on-year in February (exceeding 5% for the seventh consecutive month). Pressures have been exacerbated by the increase in the minimum wage (+23% on 1 January) and rising energy prices. Although Colombia is a net exporter of crude oil, the country imports significant quantities of gas and fertilisers. Further rate hikes are expected in 2026.

COMMODITIES

The Strait of Hormuz is at the centre of attention. Iran is seeking ways to maintain its control over the strait and is in discussions with Oman regarding the introduction of a 'toll' and licensing system for ships passing through. Around 40 governments met on Thursday 2 April, at the UK's suggestion, to consider a solution to ensure the free flow of maritime traffic. The United Nations Security Council is due to meet on Tuesday 7 April to vote on a draft resolution put forward by the Gulf states aimed at protecting ships as they pass through the strait. The outcome of the vote is uncertain and could lead to an escalation, with threats from Iran and warnings from other countries, including France and China. Attacks on ships sailing near the Strait (Dubai, Qatar) continue, as do strikes on energy infrastructure in the Gulf, including the Minal al-Ahmadi refinery in Kuwait, the Habshan gas facility in Abu Dhabi (UAE) and the Iranian steel plant in Mobarakeh. However, 21 ships were able to pass through the Strait of Hormuz this weekend.

Tensions over supply flows remain high. Russia is extending its restrictions on petrol exports to oil producers until 31 July. Until now, the restrictions had only applied to retailers. It is estimated that around 40% of Russia's export capacity is affected by these restrictions.

OPEC+ member countries are maintaining their production increase programme and are forecasting a rise of 206,000 barrels per day by May 2026. Given that flows are still restricted due to the closure of the Strait of Hormuz, the increase announced on 5 April at their monthly meeting has had a limited effect.

The price of Brent is currently around USD 109/bbl.


BNP PARIBAS

The bank
for a changing
world

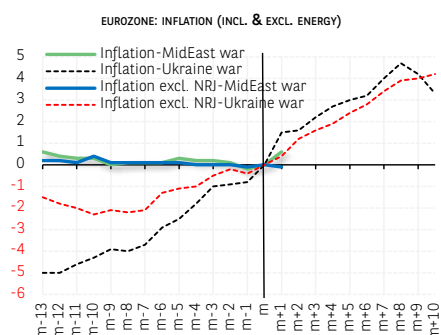
EUROZONE: SIX CHARTS COMPARING THE IMPACT OF THE 2026 ENERGY CRISIS WITH THAT OF 2022

Hélène Baudchon

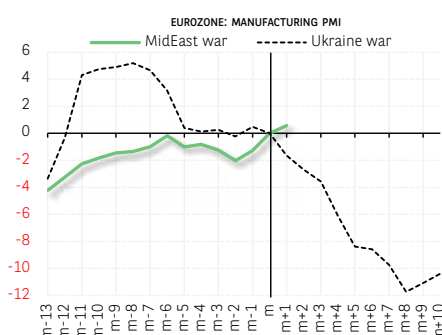
Will the same causes produce the same effects? In other words, will the outbreak of war in Iran and the associated surge in oil prices (+44% to date) and gas prices (+64%) lead to an inflationary shock¹ comparable to that of 2022? Will their negative effects on growth² be the same as those of the war in Ukraine and the ensuing energy shock (a rise in oil prices of around 30% between 23 February and its peak in early June 2022³, and a rise in gas prices of around 210% between 23 February and the peak in late August 2022)? The risk cannot be ruled out. Indeed, there are similarities and numerous uncertainties.

Middle East war: a more limited impact, for now, on Eurozone inflation and confidence than at the onset of the Ukraine war

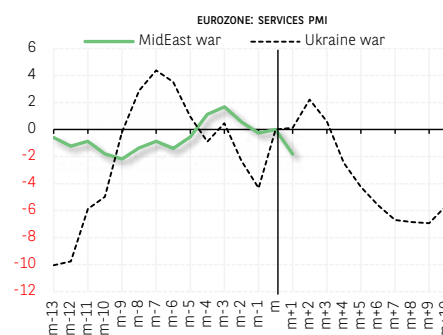
March 2026: a more limited inflation rebound



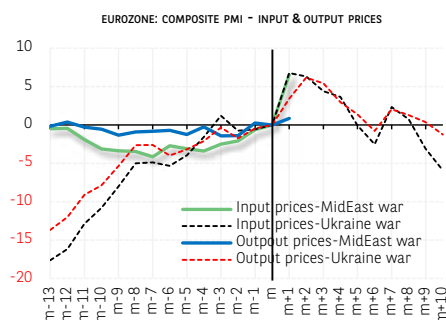
March 2026: business confidence in the manufacturing sector remains well oriented



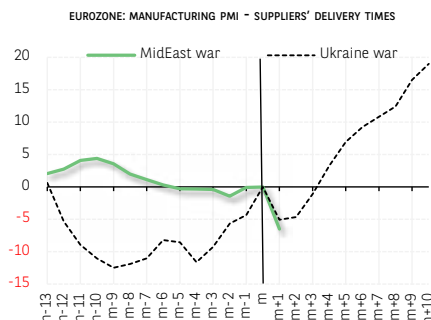
March 2026: business confidence in services on a downtrend



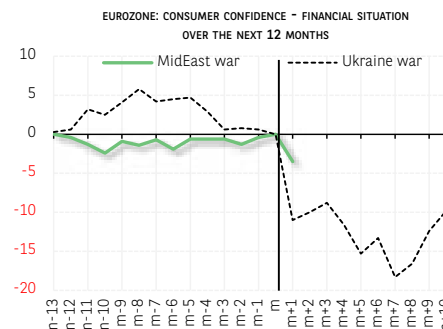
March 2026: input prices rose but not output prices



March 2026: delivery times eased



March 2026: consumer confidence less affected



Change since m = 0 = February 2026 / February 2022

SOURCE: EUROSTAT, EUROPEAN COMMISSION, MACROBOND, BNP PARIBAS

1 Headline inflation in the Eurozone soared by 11 percentage points (pp) between its low in December 2020 (-0.3% y/y) and its peak in October 2022 (10.6% y/y). The energy shock triggered by the outbreak of war in Ukraine amplified an inflationary surge that was already underway: between February and October 2022, the rise in headline inflation reached nearly 5 pp.
2 This is illustrated by the halt to growth in the Eurozone in late 2022 and early 2023. From an average quarterly rate of close to 1% (driven by the post-Covid rebound) in the first half of 2022, growth halved in Q3 2022 (+0.5%), before stalling in Q4 2022 and Q1 2023. This was followed by a year of sluggish growth (+0.15% q/q on average per quarter between Q2 2023 and Q2 2024).
3 The rise in oil prices began in April 2020 and was substantial. On 21 April, Brent fell to an exceptionally low level of USD 10 per barrel, meaning that between this low and the peak of around USD 120 per barrel reached in early June 2022, its price increased twelvefold.

At first glance, a shock less inflationary than in 2022. It is clear, however, that the economic context in which this new energy shock is unfolding is less inflationary than in 2022. At that time, economic activity was still benefiting from the post-Covid rebound. Strong demand was accompanied by numerous supply constraints due to severe disruptions and tensions in supply chains. Furthermore, energy inflation was compounded by food inflation. Today, the surge in inflation is likely to be less severe: demand is less robust and supply constraints have eased. Therefore, the conditions do not appear to be in place for a significant spillover of rising energy prices. But this will need to be monitored closely.

Moreover, central banks have learnt lessons from the inflationary shock of 2021–2023. They are ready to react more swiftly to counter any spillover, spiral and second-round effects between rising prices, inflation expectations and wages.

A muted impact so far. To date, the impact has remained contained within both the financial and real spheres. The limited and somewhat surprising reaction of financial markets does raise questions. Nevertheless, it constitutes a welcome, mitigating factor, preventing, for the time being, the energy shock from being exacerbated by a financial shock⁴. The first macroeconomic indicators available for March (survey data and flash inflation estimates) tell a reassuring story too: their reaction is also, for the most part, limited. This is good news, but in no way does it prejudice what will happen next. It is highly likely that the deterioration observed will continue: the question is by how much.

To track the effects of this new energy shock on activity and prices in the Eurozone, and also to see how closely the current situation resembles that of 2022, we have selected two measures of inflation (including and excluding energy) and six soft data:

- Business confidence, as measured by the PMI indices for business sentiment in the manufacturing and services sectors;
- The 'input prices' and 'output prices' components of the composite PMI (to identify direct inflationary pressures);
- The 'suppliers' delivery times' component of the manufacturing PMI (a direct indicator of possible supply difficulties and supply-demand imbalances and, therefore, indirectly, of potential inflationary pressures at work);
- Household confidence, as reflected in its 'assessment of financial situation' component (to capture the effect on purchasing power).

The trend in each of these indicators is observed relative to month $m=0$, when the conflict began, more or less during the year that follows and the year that precedes it. We are interested in the variation in each of them as well as the broader trend within which it fits.

Less unfavorable developments in March 2026 than in March 2022. The charts speak for themselves: excluding energy, inflation has not (yet) budged, and last March, most of the surveys showed a less unfavorable reaction to that of March 2022. The improvement in the manufacturing PMI in March 2026 is one of the positive signals, as is the absence of a rise in the 'output price' component, and the fact that the deterioration in household sentiment regarding their financial situation was more limited than in March 2022. The easing of delivery times is also a positive sign, but these are likely to tighten again due to growing supply difficulties linked to the closure of the Strait of Hormuz. The deterioration in the services PMI is a black spot on the picture, as is the rise in input prices, which was of a similar magnitude in March 2026 to that of March 2022. The starting point is, however, much lower. Moreover, what matters most is the absence of – or limited – pass-through to output prices.

helene.baudchon@bnpparibas.com

⁴ For further details, see Isabelle Mateos y Lago's editorial in Ecweek, [Gulf War: Are Financial Markets Sleepwalking?](#), 30 March 2026.



GROUP ECONOMIC RESEARCH

ECOINSIGHT

Structural or thematic topics

ECOPERSPECTIVES

Analyses and forecasts with a focus on developed and emerging economies.

ECOFASH

Data releases, major economic events

ECOWEEK

Recent economic and policy developments, data comments, economic calendar, forecasts

ECOPULSE

Easy-to-read monthly overview of inflation dynamics

ECOCHARTS

Monthly barometer of key economic indicators of the main OECD countries.

ECOTV

What is the key event of the month?

You will find the answer in our economy broadcast.

MACROWAVES

Our economic podcast

HOW TO RECEIVE OUR PUBLICATIONS

SUBSCRIBE ON OUR WEBSITE
see the **Economic Research website**

&

FOLLOW US ON LINKEDIN
see the Economic Research linkedin page

OR TWITTER
see the Economic Research Twitter page



The information and opinions contained in this document have been obtained from, or are based on, public sources believed to be reliable, but there is no guarantee of the accuracy, completeness or fitness for any particular purpose of such information and such information may not have been independently verified by BNPP or by any person. None of BNPP, any of its subsidiary undertakings or affiliates or its members, directors, officers, agents or employees accepts any responsibility or liability whatsoever or makes any representation or warranty, express or implied, as to the accuracy and completeness of the information or any opinions based thereon and contained in this document and it should not be relied upon as such. This document does not constitute research, as defined under MIFID II, or form any part of any offer to sell or issue and is not a solicitation of any offer to purchase any financial instrument, nor shall it or any part of it nor the fact of its distribution form the basis of, or be relied on, in connection with any contract or investment decision. Information and opinions contained in this document are published for the information of recipients, but are not to be relied upon as authoritative or taken in substitution for the exercise of judgment by any recipient, are subject to change without notice. In providing this document, BNPP does not offer investment, financial, legal, tax or any other type of advice to, nor has any fiduciary duties towards, recipients. Any reference to past performance is not indicative of future performance, which may be better or worse than prior results. Any hypothetical, past performance simulations are the result of estimates made by BNPP, as of a given moment, on the basis of parameters, market conditions, and historical data selected by BNPP, and should not be used as guidance, in any way, of future performance. To the fullest extent permitted by law, no BNPP group company accepts any liability whatsoever (including in negligence) for any direct or consequential loss arising from any use of or reliance on material contained in this document even when advised of the possibility of such losses. All estimates and opinions included in this document are made as of the date of this document. Unless otherwise indicated in this document there is no intention to update this document. BNPP may make a market in, or may, as principal or agent, buy or sell securities of any issuer or person mentioned in this document or derivatives thereon. Prices, yields and other similar information included in this document are included for information purposes however numerous factors will affect market pricing at any particular time, such information may be subject to rapid change and there is no certainty that transactions could be executed at any specified price. BNPP may have a financial interest in any issuer or person mentioned in this document, including a long or short position in their securities and/or options, futures or other derivative instruments based thereon, or vice versa. BNPP, including its officers and employees may serve or have served as an officer, director or in an advisory capacity for any person mentioned in this document. BNPP may, from time to time, solicit, perform or have performed investment banking, underwriting or other services (including acting as adviser, manager, underwriter or lender) within the last 12 months for any person referred to in this document. BNPP may be a party to an agreement with any person relating to the production of this document. BNPP may to the extent permitted by law, have acted upon or used the information contained herein or in the document, or the analysis on which it was based, before the document was published. BNPP may receive or intend to seek compensation for investment banking services in the next three months from or in relation to any person mentioned in this document. Any person mentioned in this document may have been provided with relevant sections of this document prior to its publication in order to verify its factual accuracy.

This document was produced by a BNPP group company. This document is for the use of intended recipients and may not be reproduced (in whole or in part) or delivered or transmitted to any other person without the prior written consent of BNPP. By accepting or accessing this document you agree to this.

BNP Paribas is a société anonyme incorporated in France, licensed and supervised as a credit institution by the European Central Bank (ECB) and as an investment services provider by the Autorité de contrôle prudentiel et de résolution (ACPR) and Autorité des marchés financiers (AMF), and having its registered office at 16, boulevard des Italiens, 75009 Paris, France.

Some or all of the information contained in this document may already have been published on <https://globalmarkets.bnpparibas.com>.

For country-specific disclaimers (United States, Canada, United Kingdom, Germany, Belgium, Ireland, Italy, Netherlands, Portugal, Spain, Switzerland, Brazil, Turkey, Israel, Bahrain, South Africa, Australia, China, Hong Kong, India, Indonesia, Japan, Malaysia, Singapore, South Korea, Taiwan, Thailand, Vietnam) please type the following URL to access the applicable legal notices: https://globalmarkets.bnpparibas.com/gm/home/Markets_360_Country_Specific_Notices.pdf

© BNP Paribas (2025). All rights reserved.

Subscribe to our publications:

ECONOMIC RESEARCH



Published by BNP PARIBAS Economic Research

Head office: 16 boulevard des Italiens - 75009 Paris France / Phone : +33 (0) 1.42.98.12.34

Internet: www.group.bnpparibas - www.economic-research.bnpparibas.com

Head of publication : Jean Lemierre

Chief editor: Isabelle Mateos y Lago



BNP PARIBAS

La banque
d'un monde
qui change

EcoFlash

Inflation in the Eurozone and France: the start of a rebound

Inflation in both the Eurozone and France is expected to return to levels not seen since the summer of 2024. In March, we forecast 2.6% y/y in the Eurozone (compared with 1.9% in February). In France, where inflation is starting from a much lower base (1.1% in February), it is expected to reach 1.7% y/y in March, rising to 2.1% in May. This rebound in inflation is attributable to the sharp increase in energy prices, which has not yet been passed on to core prices. Business surveys point to a rebound in input prices. However, they do not currently suggest an increase in selling prices in the second quarter, either in France or in the Eurozone. Nevertheless, a rebound in core inflation is expected from the second half of the year. This could prompt the ECB to begin monetary tightening from June (by a cumulative 75 basis points by the autumn, according to our forecasts).

Harmonised inflation in the Eurozone is expected to reach 2.6% y/y in March, according to our forecasts. This would represent a sharp rise compared with February (1.9% y/y). In monthly terms, the rise in consumer prices is expected to reach 1.4% m/m in March 2026, compared with 0.6% m/m in March 2025, a rise linked to the ongoing increase in fuel prices. The trend is expected to remain unchanged for other consumer items, which would represent a notable difference from March 2022. At that time, the inflationary spiral had already been underway since early 2021, and the Russian invasion of Ukraine had amplified it. Behind the 2.4% m/m rise in the CPI in March 2022, the jump in fuel prices had reached 19% m/m (a trend similar to that expected in March 2026). But food price inflation was also high and had already spread to the core rate (particularly goods prices). Nothing of the sort is expected in March 2026. Core inflation is, in fact, expected to remain stable at 2.4% y/y. All European countries are affected by the rise in Brent oil prices, as evidenced by the 0.8 percentage point acceleration in inflation in Germany (to 2.8% y/y) and in Spain (to 3.3% y/y) in March.

In France, similar trends are also expected. We forecast a rebound in harmonised inflation to 1.7% y/y (INSEE index at 1.6% y/y) compared with 1.1% in February (INSEE index at 1%). We estimate the rise in fuel prices at nearly 17% in March (similar to March 2022). However, inflation is lower in France than in the Eurozone. Furthermore, the rate of increase is expected to be lower than that seen in France in March 2022 (+1.6% m/m). However, with the recent rise in gas prices on the markets, the Energy Regulatory Commission has already indicated that the benchmark retail price for gas will rise by 15% in May, which, according to our forecasts, would push harmonised inflation in May above the 2% threshold (2.1% y/y). Core inflation (1.3% y/y in February), meanwhile, is expected to remain stable.

There is little risk of a rapid spillover to core inflation in the immediate term. The evolution of the conflict in Iran remains uncertain. However, surveys currently suggest that, excluding energy, price rises are likely to be limited until the end of the second quarter. In the Eurozone, the European Commission's survey indicates a balance of opinion on 3-month prices of +20 in industry (+6 m/m, but +57 in March 2022) and +20 in trade (+3 m/m, but +53 in March 2022). In France, the INSEE survey on the business climate in March suggests that the pass-through effect would first affect food prices, with a more limited risk for the time being than in 2022 (the balance of opinion on expected prices over the next three months stood at +8 in March 2026, compared with +42 in March 2022). Inflation on goods could also rebound slightly (balance of opinion at +9 in March 2026), but significantly less than in March 2022 (balance of opinion at +53), for reasons unrelated to the energy shock (rise in industrial input prices linked to increased production in defence, aerospace and AI).

The ECB is unlikely to be in a rush to act, but would do so swiftly if necessary. The course of the conflict in Iran will be decisive in determining whether hydrocarbon prices remain high for the long term. [We have drawn up various scenarios.](#) According to the most likely scenario at this stage, Brent would remain above USD 100/barrel until the end of Q2, with a prolonged blockade of the Strait of Hormuz and strikes on oil and gas facilities but without major damage (if the damage were to become more significant, the price of oil could rise well above the USD 100/b threshold). In this context, the rise in energy prices would continue. It would feed through more strongly to electricity prices (except in France, where the latter does not currently depend on gas prices) and would spread more rapidly to core inflation. Such an acceleration would likely force the ECB to tighten monetary conditions in the Eurozone, although the scale of the adjustment remains dependent on the uncertain evolution of the conflict in the Middle East, its impact on commodity and industrial goods prices, and second-round effects. Markets are currently pricing in three key rate hikes for 2026 of 25 basis points each: in June, July (as in our current scenario) and December (September in our scenario). The ECB will remain vigilant to ensure that tightening too late does not lead to an inflationary dynamic that is more difficult to reverse.

Stéphane Colliac
Head of the Advanced Economies Team, France Economist
stephane.colliac@bnpparibas.com

Guillaume Derrien
Eurozone Economist
guillaume.a.derrien@bnpparibas.com



EcoFlash

French public finances: a positive outcome for 2025 to be confirmed in 2026

According to INSEE, the French public deficit in 2025 improved by 0.7pp at 5.1% of GDP (the government targeted 5.4%). This improvement is due to the rebound in the rate of compulsory levies (CL). The public debt ratio is also below projections (115.6% versus 116.2%), although its increase in 2025 was as expected (+3pp). This evolution, along with the repercussions of the shock in Iran, particularly regarding interest rates, suggest to stick with fiscal consolidation efforts in 2026. The deficit is expected to benefit from a better starting point, the anticipated increase in the CL included in the 2026 budget, and the likely favourable impact on revenue from higher nominal growth in 2026. However, the government's leeway to support households and businesses in front of the inflationary shock is more constrained than in 2021–23. This support is therefore likely to be more limited this time around.

A relatively positive surprise in 2025. The public deficit was lower than expected in 2025, standing at 5.1% of GDP (compared with 5.4% according to the government's projections for 2025 and following 5.8% of GDP in 2024). The reduction in the deficit is due to the **rise in the CL – reaching 43.6% in 2025 compared with 42.8% in 2024** – linked to the tax increases included in the 2025 Finance Law. At the same time, public expenditure has risen to 57.2% of GDP, compared with 57% in 2024. The rise in some expenditure (interest payments, defence, policing, justice) has, in fact, offset the reductions, particularly in central government expenditure. **As for public debt, the surprise is also positive, with the figure standing at 115.6% of GDP in 2025** (compared with 115.9% according to the government's forecasts; 116.2% according to ours). However, this improvement stems mainly from an upward revision of nominal GDP in 2024 and 2025, resulting in a decrease in the debt ratio for 2024 to 112.6%, compared with the 113.2% previously estimated. However, the increase in the public debt ratio between 2024 and 2025 is +3pp (as we had anticipated; +2.7pp in the government's forecast).

Before the war in Iran, 2026 had got off to a promising start. The draft budget, which was approved in February, once again prioritize the increase of the CL to reduce the public deficit. We anticipate a further rise in the CL-to-GDP ratio, which is expected to converge towards its pre-Covid average (44.4%). Expenditure is also expected to rise due to the increases in defence spending, higher interest charges and contributions to the EU budget. **The war in the Middle East is expected to have an impact on public finance.** Based on the assumption that oil prices stabilise around \$100 per barrel during the 2nd quarter, followed by a relative decrease thereafter (with prices remaining approximately \$10 above pre-conflict levels by year-end), inflation is projected to increase by 1 pp in 2026, while real GDP growth is expected to fall by 0.3 pp. However, according to our calculations, public finances are more sensitive to changes in nominal growth, which is expected to be higher, than to real growth. Over the past fifteen years, an additional 1 pp of nominal growth has led to a nearly EUR 10 billion improvement in the deficit (0.3% of GDP). **Excluding support measures, the public deficit could therefore be reduced by nearly 0.2 percentage points of GDP. This would make it easier to meet the target of 5% of GDP, although this assessment is subject to significant uncertainties.**

Beware of complacency. A notable rise in inflation is expected. We estimate that fuel prices rose by nearly 17% in March, contributing an additional 0.6 percentage points to headline inflation. **The government has therefore announced its intention to implement support measures in response to the energy shock, which are expected to be more modest in scale than in 2022**, primarily due to limited flexibility in achieving the 5% public deficit target. For the time being, the energy shock is less widespread than it was from 2021 to 2023. Electricity prices are expected to remain stable, as gas is not required for its generation, unlike in 2022. The rise in gas prices is occurring at the end of winter, contrasting with the rise that took place just before winter in 2021. Furthermore, before the outbreak of the war in Iran, the French economy was not experiencing any inflationary pressures, with harmonised inflation recorded at 1.1% y/y in February, roughly its pre-Covid level. **The conflict in Iran has also resulted in a rise in interest rates to a level slightly higher than we had anticipated:** 3.87% for the 10-year OAT on 27 March, compared with 3.65% at the end of March according to our pre-conflict forecasts (so, about 20 basis points higher). Although a rise in interest rates has little immediate impact on the deficit and debt-to-GDP ratios due to the debt's long average maturity (8½ years), a sustained rise could require additional fiscal measures to bring the public deficit back down to 3% of GDP by the end of the decade. While the interest burden is projected to reach 2.5% of GDP in 2026 and 3.7% in 2030, according to our forecasts, a sustained increase of 100 basis points in all interest rates (significantly above current levels) would result in an additional 0.1pp of GDP in interest payments after one year (and 0.5pp after five years). It is therefore crucial for France to meet its budget deficit target and, as far as possible, refrain from using its potential leeway (lower public deficit in 2025, additional revenue in the event of a rebound in nominal growth in 2026). Demonstrating that the consolidation effort is continuing year after year would help to limit the widening of the spread with Germany.

Stéphane Colliac

Head of the Advanced Economies team, France economist
stephane.colliac@bnpparibas.com